OneSource Speci. (ONESOURCE)

Conference call transcripts, oldest-first. 6 call(s). Generated 2026-06-08.

Call: Feb 2025

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February 04, 2025

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ISIN: INE013P01021
National Stock Exchange of India Ltd
Exchange Plaza, C-1, Block G,
Bandra Kurla Complex,
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Mumbai – 400 051
Symbol: ONESOURCE

Dear Sir/ Madam,

Subject: Transcript of investor call held on January 29, 2025

Pursuant to Regulation 30 read with Schedule III, Part A of SEBI (Listing Obligations and Disclosures Requirements) Regulations, 2015, (herein referred as LODR) the transcripts of the investor call held on January 29, 2025 is available on the website of the Company at https://www.onesourcecdmo.com/investor-relations/stock-exchange-intimation/.

You are requested to kindly take the same on record.

For and on behalf of
OneSource Specialty Pharma Limited

Trisha A
Company Secretary and Compliance Officer
Membership Number: A47635

“OneSource Specialty Pharma Limited
Q3 and 9-month FY25 Earnings Conference Call”
January 29, 2025

MANAGEMENT : MR. ARUN KUMAR – FOUNDER – ONESOURCE SPECIALTY PHARMA LIMITED
M R. NEERAJ SHARMA – CHIEF EXECUTIVE OFFICER & MANAGING DIRECTOR – ONESOURCE SPECIALTY PHARMA LIMITED
M R. ANURAG BHAGANIA – CHIEF FINANCIAL OFFICER – ONESOURCE SPECIALTY PHARMA LIMITED
M R. ABHISHEK– ONESOURCE SPECIALTY PHARMA LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the OneSource Specialty Pharma Limited Q3 and 9-month FY25 Earnings Conference Call. As a reminder, all participant lines will remain in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing star, then zero on your touchtone telephone. Please note that this conference is being recorded. I now hand the conference over to Abhishek from OneSource Specialty Pharma Limited. Thank you and over to you.

Abhishek: Thank you. Good afternoon everyone and thank you for joining us today for the inaugural earnings conference call of OneSource Specialty Pharma Limited for the Q3 and 9-month end date for the FY25. We are pleased to have with us Arun, Founder, Neeraj, CEO and MD and Anurag, CFO who will walk you through the key business and financial highlights for the quarter.

I trust you have had the opportunity to review our results release and the quarterly investor presentation, both of which are available on our website as well as the Stock Exchange website. The transcript for this call will be posted on the company's website within the next week.

Please note that today's discussion may include forward-looking statements which should be viewed in light of the risks inherent in our business. Should you have any further questions after this call, our Investor Relations team will be happy to assist you.

I now hand over the call to Arun for his opening remarks.

Arun Kumar: Thank you Abhishek and good afternoon everybody. Thank you for joining us amongst a very busy day of several earnings calls. We appreciate your time. Before I let Neeraj and Anurag take over this call, I just wanted to express my gratitude to all our shareholders, especially the Strides shareholders who steadfastly supported the evolution of OneSource. It's been a 7-to-8-year journey with a lot of support from the parent organization and I'm delighted to say that OneSource has today morphed into a very special business that we had planned over the last two to three years.

In this process the shareholders of Strides have been extremely supportive with all the resolutions to support Stelis at that time and then the formation of OneSource. Several of our partners worked tirelessly to get OneSource to where it is today and I'm extremely delighted with how we have evolved as a company, a very differentiated company, but more importantly a good listing and a good outcome.

I'm also pleased that all of this has resulted in persistence for the Strides shareholders and the compounding value that has been created. Almost 8,000 crores has been delivered in this process and this continues to be our theme for several years and this is our second big distribution value unlocking after Agila and by far the largest, so we are very delighted that we continue with this strategy.

We believe that OneSource is poised with strong leadership under Neeraj and his colleagues to deliver an outstanding result. Today is the beginning of that journey where we believe that the opex leverage and the space that we are in will play through and will create significant value going forward.

With that, I will hand over for the call to be continued by Neeraj and followed by Anurag, our CFO. Thank you.

Neeraj Sharma: Thank you Arun and welcome everyone for this very first call of OneSource. We are all very excited and at the same time really humbled by the interest in our listing and also in this call. Just as a quick background about myself, I have been part of the group for 4 years as a CEO of the CDMO business, been in the industry for 3 decades and have been very fortunate to have lived and worked

across multiple countries across the globe. Today I am very keen to share with you our journey as OneSource and also what we have as vision for the future.
Before I start, I will take some time to explain to you the genesis of OneSource. Why OneSource, the whole inception was basically coming from our customers' desire to simplify supply chains, to go for one-stop-shop providers, especially in the areas of CDMO. And obviously, we in the group had multiple capabilities which it made sense to bring under one roof. So, on one hand, it would obviously help our customers reduce complexity in their supply chain and obviously for OneSource it means a higher share of our customers' wallet.
I am really happy to say that the inception philosophy is really playing out. Today as we speak, when we started OneSource we had no customer which was common across all our service offerings. Today we have got many customers who are common across all our service offerings and several who are common at least with two service offerings, which is what the entire story was on OneSource. And that's how the birth of OneSource happened, which is India's first specialty pharma CDMO.
We are really one of a kind in this business and its for several reasons when I say that we are one of a kind. When it comes to our width of service offering, we are one of a kind. Across the drug device combinations, biologics, sterile injectables, soft gelatine capsules, here at this width we are at par with some of the leading global multi-modality CDMOs.
Then we are one of a kind because of our industry-leading capacities. Across all our service offerings, whether it is our drug device combinations, soft gelatine, we are significantly higher than anyone else. Our one of a kind story remains with the fact that we have a very stellar compliance track record.
I am very happy to share and some of you might have seen our press release yesterday that one of our key sites, which is our penicillin site here in Bangalore, has received EIR from USFDA, just to reinforce our continued compliance track record. Thanks to all these, we are also one of a kind in terms of our industry-leading EBITDA margin profile. So, that's what OneSource is about.

I wanted to give you a background on our business, how we are different as a CDMO. I will now take you to the highlights of the last quarter, which got over in December. Obviously, you are aware that a lot of work happened in ensuring that we had a successful listing in the stock market. As I mentioned, it is a very significant milestone in our journey. The fact that the group is known for a very strong corporate governance and I can tell you that we have inherited the same DNA and same legacy on this front as well as many others. Of course, we are putting together a very highly accomplished board, which we will be announcing soon.
Coming to our numbers, I am very happy to tell you that we have made a very strong debut in our first quarter as an independent company. In the quarter, we delivered a revenue of INR393 crores and an EBITDA of INR143 crores. Especially a highlight on EBITDA, where our EBITDA for the quarter was actually more than the previous two quarters combined and with a very strong margin of 36%.
This is where our biologics and drug device combination business is increasing traction, which is at a very high EBITDA margin. That is what is reflected in our EBITDA margin increase. For a 9-month period, we are at about 1,000 crores, a little over, and an EBITDA of about 284 crores. I also want to highlight here that for our biologics and drug device combination, which is a key growth segment for us, as you are aware, predominantly the revenue in this year is coming from what we call MSA, which is basically all the revenue from the pre-approval part. Our business actually has got 2 revenue streams, especi

ally when it comes to biologics and drug device combination, which is MSA, which is the pre-approval, and CSA, which is our commercial revenue once the products get approved.
This year, in FY25, predominantly, as I said, the revenue is coming from the MSA part, but in steady state, we would have the ratio actually 80-20 in favor of CSA, which is a commercial revenue. While we reach steady state in a couple of years, we will have FY26, which is basically a cusp year where we will evolve from predominantly MSA to a significant CSA, and we will see how the mix would change from quarter over quarter. We will talk more when we come to

you for subsequent quarters.
During the quarter also, we had a number of good wins in our business across all our service offerings. To give you a sense of what these wins are about, just in this third quarter, our MSAs, we have signed more MSA contracts than we did in the full year FY24. Just to tell you that the traction to our services across all modalities is increasing. Our customer base has gone up. We have got today 60-plus logos across all our service offerings, and the fact that, as I mentioned already, a number of these customers are common to more than one service offering. Again, the story of inception is playing out very well.
I would also like to tell you an area, which obviously there is a lot of interest around the GLP-1. Here also, we have increased our customer base. Today, we have got 20 customers in GLP-1, and I can tell you these are who's who of the global generic space. Here also, there are multiple customers, who are our customers for more than one GLP-1. The fact that we have, as we speak, we have got 7 actual or potential NCE-1 programs, including GLP.

The pipeline remains healthy across all, including biologics, which, if you recall, we had mentioned earlier that we have a new biological entity as our first project, which is progressing very well. We continue to see new RFPs. We continue to see increase in visits from innovator companies, whether it is American, Japanese, or biotech companies. As we speak, we have got multiple RFPs open. Of course, our unique position that in biologics, we are having a unique site, which is an integrated biologics, drug substance, and drug product site, which is a huge value proposition for our customers.
In our oral technology soft gelatine business, as you know, we have increased our capacity, and we are right now at the capacity which we have. We are among the global leaders in soft gelatine capsules. A lot of this new capacity has been spoken for, thanks to the new CDMO customers, which we are building. Obviously, as a CDMO, the key to our reputation, apart from our capacity and our capability, is the third C, which is the third C of compliance. As I mentioned to you, our stellar track record remains reinforced. Just in last year, 2024, we have had 36 successful audits, both from regulatory bodies and the customers, including the one I mentioned to you, which we just got EIR yesterday.
Now, what does it really mean as we go into our future? Here, I would like to tell you and reinforce our medium-term guidance. And as we have guided earlier, we will be looking at a growth of anywhere between 25% to 30% on a CAGR basis, and will be a 400 million revenue company in the next 3 to 4 years, with a very significant EBITDA margin of 40%. Here, of course, this growth, a significant part will be coming from commercialization of the products which are under approval, whether these are GLPs or some of the others, as well as the customer base which we have, which continues to expand.
And, of course, because we have, as I mentioned to you, a very significant customer base, and thanks to the fact that these are the global leaders, we also have a very strong demand and a very robust forecast. And based on this, we are proactiv

ely expanding our capacities so that we ensure
when our customers need the supplies, we are there for them. And for that, we will be investing about 100 million in capex over the next 2 to 4 years. While a significant part of this capex will be towards our drug-device combination capacities, we will also add new capabilities in our Strides injectable space.
So the basic idea is to be very well positioned to capitalize on opportunities. And finally, I would just say that we are hugely excited in what is in front of us, the opportunities, and are fully geared up to execute. This is what I wanted to say.
Thank you for listening. I would now request my CFO Anurag who will run you through the numbers and also tell you the key financial ratios.
Anurag Bhagania: Thank you, Neeraj. Good afternoon, everybody. Thank you for joining our first earnings call as OneSource. As a quick brief introduction, I am the CFO for OneSource, very excited to be building out OneSource through its journey right now. I have over 25 years of experience, 10 plus years of which is largely in publicly listed companies. But what I am excited about is the results that Neeraj briefly talked about. In addition to that, I will also walk you through a little

bit about some of the process initiatives and progress on the NCLT process, but first on the

financial performance.
And the top line is something very, very exciting. In Q3, we stood INR3,926 million and growth of about 18%, closer to about INR400 crores for the quarter. And on a YTD basis, we are already exceeding INR1,000 odd crores. We are INR1,189 million. And these are a result of the significant wins and long-term contracts coming through our offerings, which truly reflects the amount of customer trust and the strong belief that they have in us.
On our EBITDA impact performance, we have had a very strong growth. And therefore, the impact on the EBITDA due to the operating leverage that we have in our business, we generated an EBITDA of about INR1,432 million, INR143 crores to be precise. And a normalized PAT. These are the numbers that you can also refer to in our earnings presentation that is uploaded and I am sure, you would have already looked at it.
What is normalized PAT therefore? It is excluding one-time exceptional items. It is excluding interest on discontinued debt. And it also excludes scheme-related amortization, all of which is more like one-time items and not truly reflective of the operating performance of the business. So we have taken that out. And after those adjustments, what we see is our EPS stands at INR7.8 for the quarter on a fully diluted basis. And our return on capital employed is in the mid-30s range and trending nicely towards our future outlook of 3 to 4 years.
Beyond the numbers, there are also very, very significant developments, in terms of some of the process. We went through the NCLT process. This quarter, we got all the approvals in place. And as a result of those approvals, we are now a listed company on the Bombay Stock Exchange and the National Stock Exchange. We are very thankful to all the regulatory bodies, to our professional partners and colleagues –and it gives us a huge amount of confidence in terms of the execution rigor that we are building as an organization for the future of OneSource.
In addition to that, we also had a significant amount of fundraise during the quarter. We raised about 801 crores, 8,010 million, as you would have known. And we've already used half of it to retire some of our high cost and some of our complicated guarantee backed debt. All of these actions will start showing outcomes in the future P&L, as we expect our interest pretty much to go down half of the levels that you see today. We've also significantly reduced our guarantees that were existing in the earlier quarters.
So as you see at the end of qu

arter three, we are net of deposits and net of cash and cash
equivalents about INR5,817 million on our debt, which is INR581 crores to be precise. And we are anticipating a healthy over a medium to long term period debt to EBITDA of less than one. We actually aim to be debt free before end of financial year ‘27.
And the balance amount of cash that we generated, we have kept it aside for our capex program. As Neeraj earlier mentioned, we are eager and prepared for the future in terms of our capacity build-out, and therefore we plan to invest about $100 million. Half of it, it obviously is coming from the capital raise that we did.

And in addition to that, we anticipate a significant amount of cash generation in the business and some customer participation, which will pretty much make sure that all of that 100 million that we want to invest over time, we are taking care of that. Priorities for the quarter is obviously running on this journey further and drive on our integration process as we bring together the businesses to make the future of OneSource.
With that, I invite Abhishek back and open it up for questions.
Moderator: Ladies and gentlemen, we will now begin the question-and-answer session. The first question comes from the line of Nitin Agarwal from DAM Capital. Please go ahead.
Nitin Agarwal: Congratulations, Arun and the team, for a tremendous milestone in getting OneSource listed. Tremendous achievement, congratulations again. I just had two questions. One is, Arun, on the GLP-1 business, the DDC business, this is a little bit of a unique business to your investors out here in India. So in your assessment, how should we be thinking about this business in terms of qualitatively? How should we think about the capacity utilization of the capacity that you talk about as well as linked to it the revenue generation in this business? What framework should we use while thinking about this business?
Arun Kumar: Nitin, you see, this is a business that's evolving in terms of forecasts. So the forecast reliability is a function of constant change. At this time, we know that our existing capacity of 40 million is not enough. We are already expanding capacities as we have articulated in the deck. We strongly believe that we need to add more and therefore we are going almost -- increasing our capacity 5x from the 40 odd million to almost 220 million in the next 3 to 4 years. You are aware that these are extremely long lead times.
Equipments, we are one of the few manufacturers producing GLPs under an isolator system

which is hard to get along lead time on equipments and that supports our quality philosophy. I think from a modeling perspective, Nitin, the way to look at this is to, to understand that when we communicate that 20 of the leading generic players are partners. Our experience is that these companies have got significant market share as regional champions or global champions or European champions to kind of support their forecasts with other products that they sell.
So at this time, we say that we have to keep this capacity because we are already seeing on products like Liraglutide where we haven't put much emphasis on onboarding customers but we are seeing whichever customers we have, the volumes are increasing quite nicely. But obviously we are more excited about Ozempic and later Wegovy. And how we see this is that you need to have the capacity to meet increasing demand. We play the risk along with our partners jointly in the sense that we expect our partners to participate in capex or in reservation capacity fee. Consequently, we have that ability to take those decisions and that is why Anurag has articulated that capex should be from internal accruals because we don't need to borrow to build these capexes. So we are doing this risk share with our partners with a minimum guarantee that our asse

ts are properly utilized. So at this time, it's a blue sky, I can't give you a specific way of doing it but I think we are in a good position.

We think that a large part of the global files that are from the challengers come from our site and therefore we strongly believe that increased capacities would be ideal so that we can use those opportunities that come our way. Yes, so you know, 26 and 27 is a big year.
As you know, the markets form mainly in Canada in January and then in January of 26 and then bulk of it is only in the last week of March. So effective -- and that also will result and that is why in FY26, we will have fluctuating quarters because we obviously are reserving capacity. If our customers do give us money to reserve capacities, then we have to reserve capacities for them. But revenue recognition would be more kind of hard-coded towards the second half of the year.
I think FY26 would kind of be a little bit ambiguous in terms of what exactly can we sell. All the 90 million that we will have before the end of the year, we would like to believe so, but can we sell the 40 million? 100%. So that's how we are modeling our kind of guidance and if you look at our guidance, it's guarded. It's not low ball but it is based on, it's not irrationally exuberant but we are also excited about the possibilities that the plant has the ability from a model and nature of its design that we can expand very rapidly capacities and we have access to those equipments since we already ordered them.
So yes, it's a hard question Nitin. Typically you do have these difficult questions for us but I think you have to play between the 40 million and 90 million in the first phase of our evolution.
Neeraj Sharma: Just to add, I think what also gives us confidence is, our customers have increased the forecast upwards on multiple occasions. So which gives us confidence and that's why we are investing for this capacity.
Nitin Agarwal: Thank you so much. Just one quick one. Arun, when you look at the -- when the recast balance sheet post the restructuring, you see there's a large amount of goodwill because of the accounting method which is used for the merger, or rather restructuring rather, a large goodwill intangible sitting along with a pretty sharp increase in our networth. So, I mean, any thoughts about how to control the size of the -- optimize the size of the balance sheet? Because these are all sort of non-cash items sitting in the balance sheet.
Arun Kumar: Exactly. And we know that it has a negative impact on our ROCE but almost INR5,000 crores has been added because we didn't have common control. We had TPG as our partners and it'll be unfair for us to have expected a common control commitment from them as no PEs would sign up for that. And between TPG and the family office we have the ability to have common control. Had we done this, this would have been a very standard, straightforward process, without this very large amount sitting on our balance sheet.
We are evaluating the possibilities of how to address this very quickly and we are engaged with advisors and consultants and tax advisors mainly. Bear with us and I think we will have more concrete solutions for the next call considering that we've just been listed and we're very preoccupied with our results. Yes, but I think from an operating margin and flow through and the cash flow through, we will have a very significant free cash generation and an adjusted

ROCE of 30% already but then growing strongly. But I think we will find some answers around it.
We're looking at comparable situations on an international basis. We want to be sure that they meet compliance and governance requirements, shareholder approvals, if at all. And we'll come back. But, Nitin, at this time, it's a hi

ghly active matter that we are working on.
Nitin Agarwal: Thank you. Thank you so much and best of luck.
Moderator: Thank you. The next question comes from the line of Amey Chalke from JM Financial. Please go ahead.
Amey Chalke: Yes, thank you for taking my question and congrats to all Arun, Neeraj and Anurag for the first call and all the OneSource team. The first question I have is we have around 20 customers on the GLP-1 side. Is it possible to give some clarity on how many of these 20 customers would have already filed the product and how many would be in the MSAs? And how much of these would be for US or Europe kind of geographies and how much would be for RoW? Thank you.
Neeraj Sharma: So, Amey, this is Neeraj. I'll just take your question. Thanks for your wishes, first of all. You know, Amey, as a CDMO, we are in business of keeping confidentiality on who we work with and the details around that. Having said that, as I mentioned to you, the customer base we have, is literally the who's who of global generic industry. So there are companies who are global leaders.
There are companies who are regional leaders. There are companies which are leaders at a country level. So across all these, for many we have completed the MSAs, many have filed, some are in the process. And as I mentioned to you, these customers are across molecules. So, they could be different for different products. But suffice to say that, our customers are going to be present at the market formation across all major markets. I think that should give you comfort. I'm also happy to share that, even a product like Tirzepatide, which is actually going to be expiring, the patent is going to be expiring in 2036, we already have customers for those, you know, especially the ones who are targeting the NCE-1filing deadline of 2026. So as I mentioned, a very, very large and diversified customer base, and our customers will be there at market formation.
Amey Chalke: Right. So the reason I'm asking this question, because as you understand, the capacity globally is quite limited. So while choosing this customer, it is very important from our perspective as well, right? Whether that customer will be filing for the market, which is going to see patent expiry in the initial years, because you would have to allot that capacity to that particular customer, right?
Neeraj Sharma: Yes, correct. So you are right in saying, you see that the biggest challenge right now for everyone in the market is getting access to capacity. And that's the reason Arun mentioned earlier, you know, our customer contracts are such that to get access to our capacity, there are customers who are either participating in our capex program, which will give them that access.

There are customers who are giving us reservation fee, you know, again to block -- get some dedicated capacity. And then there are customers who have given us a forecast which are anywhere between 24 to 36 months forecast, out of which anywhere between 12 to 18 months are binding forecast, which is basically equivalent to take or pay. So thanks to these various models which we have with our customers, that's how we are allocating capacity.
And the very fact that, again, both Anurag and Arun mentioned, we are proactively expanding our capacity. And, quite a bit of this capacity will come online in the FY26, some will come later, but we will be prepared to support our customers.
Amey Chalke: Sure. Thank you so much. Thank you. I'll join back.
Moderator: Thank you. The next question comes from the line of Kunal Dhamesha from Macquarie. Please go ahead.
Kunal Dhamesha: Thank you for the opportunity and congratulations on a good maiden quarter for OneSource. The first question is again on the GLP-1. Probably from a market, total addressable market perspective, while we are going to increase from 40 million to

220 million, if you can provide
some color as to what's the current market size or current cartridge requirement for just for GLP-1 globally and how do we expect that to kind of grow? And maybe a broad split between the markets which are opening up in 2026 versus markets which are opening beyond 2030 would be helpful.
Neeraj Sharma: Yes, sure. Thank you. You see, when you look at the market, this is a market which is an evolving

market, right? I call it a fool's errand if I were to forecast where this market would be the way it is growing. I can just tell you that what IQVIA today reports and as per IQVIA, the total GLP-1 units are let's say about close to about 500 million units which is between US and the Rest of the World.

But I think what is really important for you to look at and then primarily your question related to the markets which are coming off patent early which are the ex-US, ex-EU markets. You see, what IQVIA is showing today, that's just the tip of the iceberg, simply because this market has been constrained by supplies. NOVO has been focusing almost entirely on US and then Europe. Therefore, most of these markets, these are very large markets.

If I look at the population of Brazil, especially when we are talking about having diabetic population, in 200 million people, very high incidence of diabetes, very high incidence of obesity. Some of the largest markets, India, China, are not serviced at all by NOVO. So, you know, while the current numbers are what I mentioned to you, where these numbers are going to be once the markets get genericized, once these large number of patient population get access, I think it will be a very, very different number.

And that's the reason you see us going -- increasing our capacity 5x so that we are able to, our customers are able to get maximum opportunity to access these markets.

Kunal Dhamesha: And in your view, your customers, the 20 customers, I think, earlier you were talking about 15, 17 customers. Do you think that they are finding you as the first source of the product or they are also doing their internal filings? I mean, what is your sense on that? And then how complex it is? I mean, does it require additional filing for them to add you as a source? How does it work?

Neeraj Sharma: So I can tell you, you know, to answer your first question, yes, we are the first source for our customers. And the thing is, when a customer comes to us, today a customer is spending anywhere, anywhere between $5 million to $15 million plus for each approval, right? And you can understand this level of investment.

And these are not very easy products to move. These are not easy products to switch. Arun mentioned, to have an isolator-based capacity, it is not easy to build. We are the only ones, so we don't see anyone entering with this technology anytime soon. So the fact is that we are the first ones and we see even if somebody would develop or add in-house capacity and it could happen for sure, we would still remain a significant supplier and a share of the total of these customers.

Kunal Dhamesha: Sure. One more with your permission. On the seasonality, so I see that there is a significant gross margin improvement that has happened between first half versus quarter three. So how should we look at the seasonality from a business perspective? Because a lot of the CDMO companies do have seasonality.

Arun Kumar: So, in our case, it's Arun here, the seasonality is a function of only for the next few quarters. Like Neeraj mentioned earlier, from FY27, 80% of our volumes would be predictable CSA , that is commercial sales. So, yes, we are already guiding for a top sided H2 because that's when the commercial supplies start. But we are also guiding for FY26 within that margin range of what we have reported this quarter. But there will be quarters when it will be lower,

there will be
quarters which are higher.

The seasonality is therefore a function of only the time when we have freedom to operate in certain markets for the GLPs. So I don't think you need to look at us as regular CDMOs, especially in the API space where they're heavily lopsided towards a particular quarter or a half. We are already guiding you that this is only a one-off year for us, the next 5 quarters. But after that, we will have a very steady-state business with growth, Q on Q. And also we are guided for more than 40% EBITDA. So I think the fluctuations in EBITDA and seasonality, fluctuations in EBITDA and not necessarily seasonality is the more apt word that you need to use for us.

Kunal Dhamesha: Sure, thank you and all the best.

Moderator: Thank you. The next question comes from the line of Anubhav Agarwal from UBS Group. Please go ahead.

Anubhav Agarwal: Good afternoon to all. First question is very basic. With 40 million cartridge capacity, how many end patients can it support? Would the end patient be needing about somewhere about 5, 10 cartridges in a year? What is that number?

Neeraj Sharma: Yes, so just to give you an idea, in a pen which takes a cartridge, especially if I take a product like Ozempic, it is about 12 pens in a year. So 12 pens in a year Ozempic patient takes. But if I take, similarly if I take Lira, Ozempic as you know is once a week, but Liraglutide is actually once a day. So Lira, the same ratio works actually 1 is to 3. So 3 times of Ozempic is what a Saxenda or Liraglutide patient takes.
Arun Kumar: To answer your point, it's more like 8 million or 9 million patients at 40 million and we know that's not a big needle mover.
Anubhav Agarwal: Yes, so that's the starting point, I want to understand. So when you give a capacity ramp-up schedule, 40 million going to 220, see returns are very good. In fact, superlative returns like 40% margin, 2 or 3 returns. It's a great business, right? And even on your 220 million capacity, let's use your number itself, right? Maybe you will be serving like 4 crores to 5 crores, 45 million patients, right? What would be market share at that point of time?
I'm just trying to understand that how do you think about this phase up? I mean, what is the thing which you're not sure about? So the demand is there. Yes, it's difficult to say how it will ramp up. But is something else is a constraining factor because it's such a great return? What is stopping you?
Arun Kumar: Anubhav if I may. Firstly, the 220 million cartridge capacity, kind of services all the markets that we think have big demand for markets that are going off patent before '29. So this doesn't cover our needs for Europe and for the US, we have plans. We are working around it. But we have the luxury of time for installing additional capacities, okay? So that is one.
Secondly, remember that the innovators either due to supply chain constraints or strategy have starved emerging markets and markets that can afford generics from supplies. This is a very standard problem that we're seeing. And we're seeing that even in Saxenda as Neeraj alluded that we are seeing demands being, I mean, forecasted upwards because these markets were under serviced.
So I think the 220 or even 400 million is a very small percentage given that it is expected that over a billion people would potentially be the customer base. And obviously that's not the capacity that we are developing. It probably serves 3% to 5% of that total opportunity. What we are seeing is the expansion of that patient pool with better pricing and price points and service levels.
So we will be an important player, being first to market formation with our partners. But we are also in a very strong position with our partnership in the US but that's many years away. So we have the ability in our plan and elsewhere in our group, I mean,

within the OneSource ecosystem
to add more capacities on a global basis. So I think 220 million units is a good starting point. It is still not a very big percentage but I think considering that most of the first generic files are housed out of our plant, I believe that we will have an important share of that market formation of the generic GMPs.

Anubhav Agarwal: Can I ask you one clarification on this, on your response? So in FY27, let's say FY28, roughly what would be your market share in the cartridge segment in the fill and finish? Would you be like 20%, 50% of the market? What would that number be?
Arun Kumar: More like 15%-20% is our estimate.
Neeraj Sharma: I think steady state, once all markets are out, I think we could be about a third of the total generic market. Now whether that happens in '27 or '28, difficult to say. I can only tell you the way the market is evolving. I think it is very important that as Arun mentioned, most of these markets which are coming off patent early, whether it is Brazil which is less than 1% of potential population is being covered right now by Novo and Lily put together.
In Canada, a market like Canada is no more than 5% or 6%. So there is a huge market out there which would be expanding and this is only with -- all the numbers we are talking about are only based upon Type 2 diabetes and obesity. We all know how the indications are expanding. Yesterday, Novo got an approval for chronic kidney disease and suddenly chronic kidney disease opens a huge different market. Therefore, as we said, this is an evolving market and everything will evolve.
Anubhav Agarwal: Thank you.
Moderator: Thank you. The next question comes from Sudarshan Padmanabhan from JM Financial. Please go ahead.
Sudarshan Padmanabhan: Thank you for taking my question and congrats on great set of numbers. My question is beyond the GLP-1 which you have very well elaborately explained to us. I also see that we have very unique capabilities in the biologic space. Probably one of the very few people I can think of in

the integrated between the drug substance and drug products.
In this space specifically, can you talk a little bit more about the kind of capabilities that you have created in terms of platform technology. You have talked about lyophilization. Are we planning to extend it further towards other technologies? What are the kind of clienteles that we are working with right now and where do we see the commercialization benefiting us?
Neeraj Sharma: Sure. On biologics, as you rightly said, thank you for highlighting that point. We do have very unique capabilities and capacities when it comes to biologics. As I mentioned earlier, we are one of the few sites globally, with integrated drug substance and drug product in the same site which is a huge value to our customers. Of course, the benefit of starting with a drug substance and ending with a full finished product is something which customers really value. Here in biologics, we already onboarded our first customer in the area of microbial.
While we have capacities in both mammalian and microbial, our real niche and uniqueness is in the area of microbial where we are able to do development, we are able to supply clinical trial quantities and commercial quantities. We already have our first innovator customer in that area where we have multiple ongoing conversations with some of the large companies. This is where we are going to be doubling down. That's a unique area we have. As well as areas that you

mentioned, like lyophilization and complex injectables, that's a legacy which we have, a very long legacy and we will continue to strengthen and double down in that area as well.
Sudarshan Padmanabhan: When do you see the commercials in terms of sales and numbers benefiting us, in this space?
Neeraj Sharma: Biologics is a long gestation business. The investments which we have made were made way back in ‘17-‘18 and we had our first customers onboarded now. This is a business which requires significant work. I can tell you between starting discussions and actually signing a contract in biologics can take anywhere between 12-24 months. That's why while it takes time because there is a lot of diligence required, but the good thing is that once you have a customer, you have a customer almost for life. That's where we see a huge benefit.
While all our customers are onboarding now, we will start seeing the commercialization. Right now while we will continue to have a significant MSA revenue over the next 2-3 years. Our really commercial will be starting 3-4 years from now. In fact, in the guidance which I mentioned earlier of 400 million, we have from biologics only limited contribution because most of the commercial revenue in biologics will be after that period. After that, we have a very long lag for our business, beyond the period we have given for guidance.
Sudarshan Padnabhan: That's very interesting because even beyond...
Moderator: Sudarshan, I'm sorry to interrupt you there. Please join back the queue for follow-up questions. Thank you. The next question comes from the line of Abdul Qadir Puranwala from ICICI Securities.
Abdul Puranwala: First question is on the capacity expansion of $100 million which you're planning to do over the next 4 years. Could you help us split this amount between what is going for Fill Finish, DDC and for Softgels and sterile injectables?
Arun Kumar: We don't get granularity. We need to understand that we can't get into these finer details of what exactly all of it is going. Everything that is mentioned in that slide will cost us a lot of money.
Abdul Puranwala: With this renewed addition on your cartridge full finish line of close to 220 million units by 2028, I mean, that is quite encouraging to also understand that how should we see the utilization levels at least starting FY'26, '27? Any color on that would be very helpful.
Arun Kumar: I think that considering that we have completed a very significant investment phase which is delivering value, in our business of CDMO, like all CDMOs do, we have to put capex ahead of business. So what we're investing 100 million is not going to give us turnovers tomorrow morning. And that is why you have to go by the guidance that we have provided on the CAGR of growth and the EBITDA range.
So you have to do your math around that and make up your model. The point I'm trying to make is that we can't give you granular details about each line item, what is it going to deliver. Because we are investing capex based on our ability to forecast what our customers will deliver, our

ability to take risks. But overall, we have committed three critical line items for you which is growth, EBITDA and ROCE. So we'll achieve all of that.

Moderator: The next question we take from the line of Alankar Garude from Kotak Institutional Equities.
Alankar Garude: Hi, thank you for the opportunity. First question, so you mentioned OneSource is the primary source for the 20 GLP-1 customers. Are you also including clients having their own capacities when you say this?
Neeraj Sharma: I think as I mentioned, I would like to know how many clients have that capacity today. But the idea is very clear that we would be the primary supplier for all of our customers.
Alankar Garude: Understood. Maybe a follow-up there, Neeraj, would be do you see any of your clients also looking to add capacities for cartridges or are they still in a bit of an unsure state at the moment about investing on their own?
Neeraj Sharma: Sure. You see, as I said, our customers are the global who's who of the industry and I'm sure as a de-risking strategy some of

them would be looking at their own capacity. But I can tell you that because we are the pioneers here, we have a significant headstart the kind of both the capacity, the capability and the compliance track record we have, it's not very easy to replicate. But having said that, some will certainly do their own in-house capacity.
Anurag Bhagania: And as Neeraj already earlier mentioned, there's a significant hurdle in terms of our customers from thinking about any other site other than ours since they have already gone with us so far. There's a $5 to $15 million of initial investment which they will have to reinvest. So practically, there's a lot of value in terms of continuing that relationship.
Alankar Garude: Got it. And a second one, a quick one, you spoke about not putting too much emphasis on getting customers for Liraglutide. Should we expect minimal contribution from Lira in FY'26?
Neeraj Sharma: Yes, so by the time we started, the whole focus of the market is on SEMA, whether at the prescription level or at the company's level. So yes, a significant part will be coming from SEMA.
Arun Kumar: But to answer your specific question, yes, there would be some revenues from Lira too.
Moderator: The next question comes from the line of Vivek Agarwal from Citigroup.
Vivek Agarwal: One question is on Biologics, as you have mentioned that you have on-boarded a new customer. So is it possible if you can elaborate what kind of the customer it is, that is the product, so let's say whether it's an early stage product or for example some kind of the middle or later stage product?
Neeraj Sharma: Yes, so I can, obviously as I mentioned to you, we are a CDMO, we don't give customer details, but I can tell you that it's an innovative customer. The product, which is a new Biologic entity, the first in class, and it's already, the development work has been done.

It's a product which we have taken at a Phase 3. So, so that's how we will, and we will be taking it to cities and eventually to commercialization on approval.
Vivek Agarwal: So post commercialization basically you are going to participate and when you expect, let's say, as far as the commercialization is concerned, if it happens?
Neeraj Sharma: As I mentioned to you, these are -- keeping in mind the entire approval timeline if the commercialization is about 3 to 4 years out.
Vivek Agarwal: Okay, understood. And one more question I have on GLP-1. So what kind of competitive advantage that you have?
Because everyone is sensing this opportunity coming and can invest into the capacities, etc. So what is stopping the other players in putting the capacity as you are seeing that not seeing anyone entering the technology zone?
Neeraj Sharma: I think it's what I mentioned, we are the pioneers when we started. Nothing is stopping anyone from coming. I'll explain to you how it works. If today someone were to come in and start putting the investment, put in an order, just to get a filling line, it will take them anywhere between 24 to 36 months.
And even if they have once the machine comes in 3 years from now, to take the batches, you need to generate 6 months of data before you can go to FDA. You generate 6 months data, you go to FDA, it takes another 6 months before FDA comes to approve.
And then at least another one year for you to get the approval of the product. So today you invest, the first revenue dollar comes back in 5 years. And by the time, as I said, we as pioneers have a significant headstart.
And the fact that we have multiple customers, experienced with multiple customers, a very, very significant drug device expert team. We have taken more technical transfer batches in GLP-1 than most companies do, commercial batches. So I think all this put together, puts us as, to answer your question about competitive advantage, I think all this puts us in a very strong

position versus anybody else.
Abhishek: Ryan, can we take last 2 questions in the interest of time, please?
Moderator: The next question comes from the line of Aman from Astute Investment Management.
Aman: Just 2-3 quick questions. First on GLP-1, so when we talk about this 40 million number for next year and 90 million in blue sky scenario, or maybe in FY'27, could you talk about how much, say, percentage will we take or pay where we have like definite probability of that happening? Plus, if you can also talk about client concentration. So when we reach that 90 million, is it dependent on 3-5 customers? Because what we keep hearing, there's a lot of issues in getting the API right.

So if we are dependent on that, then can our story be revealed? And finally, on this 40 million for this year, which is base case, when you talk about minimal is Lira. So is it safe to assume that in terms of volume, Lira will be like Lira, SEMA trade will be 20-80? These are the questions on GLP-1. Just 1-2 more questions I have.
Arun Kumar: You have to go back on the queue. There are a lot of other people.
Management: Yes, you can answer these…
Arun Kumar: I think your point on client concentration, when we announced that we have 20 active customers, obviously the concentration is not at all there because 20 customers in GLP is a lot. Second, will all of them get approvals? We don't know.
That is why we have 20 in the first place. So I think the point is please be guided by our outlook. The outlook has got all of these questions sensitized in a manner that management is confident to stick its neck out to provide a guidance, which we normally would not do otherwise.
Moderator: We take the last question from the line of Anubhav Agarwal from UBS.
Anubhav Agarwal: Thanks for my follow-up question. One is on DDC. Just trying to understand the duration of contracts, particularly for you guys. What kind of duration are we talking about here?
Secondly, on the pricing, is it valid for the full duration or price changes each year or do you have some escalation clauses? Not the numbers, but what are the kinds of contracts there?
Neeraj Sharma: Our contracts are typically between 5 to 15 years. So you can take an average of about 10 years of all our DDC contracts, that's your first question.
And in terms of pricing, obviously, as a typical CDMO, we have a volume-based staggered pricing because for us as a manufacturer, it depends upon their efficiencies which come in with increasing batch sizes and increasing volumes. Obviously, most of our customers, when they started, they started at small batch sizes. Now, considering the big growth in forecasts by everyone, the batch sizes are increasing quite dramatically and our pricing, obviously, is also staggered. But it is there in the contract and staggered pricing.
Arun Kumar: Anubhav just to add to what Neeraj is saying, as a typical CDMO, we operate as an international CDMO. So, we sometimes put risk capital in partnership with our partners, which effectively means we get an upside share on profits, royalty, stuff like that. So it's a combination of low pricing from a pure manufacturing activity, but also an upside in terms of profit share.
You probably are aware that we are partnered for the first NCE-1 in the US It's a long haul, long drawn timeline, but we do have other smaller arrangements like this for other markets. The D part of our business is significantly designed, or I would say designed more like international CDMO players, and our manufacturing part has got a healthy minimum EBITDA target, and then we have these additional value streams, which gives us a lot more confidence.
Anubhav Agarwal: Sure, that was very comprehensive. Thank you.

Moderator: Thank you. Ladies and gentlemen, that concludes th

e question and answer session.
Neeraj Sharma: Sorry, I just wanted to say thanks once again to everyone, but also I know there are many questions today which perhaps remain unanswered. Just to make sure that we give you sufficient time, what we are organizing is actually an Investor Day. It will be done in Mumbai sometime end of February or early March, where we will be able to interact more and answer more questions. Our Investor Relations team will reach out and give you more details.
Arun Kumar: And in the meantime, please write to us if you have any specific questions and thank you so much for your time. Thank you.
Moderator: Thank you. On behalf of OneSource Specialty Pharma Limited, that concludes this conference.

Thank you for joining us and you may now disconnect your lines.

Call: May 2025

(no extractable text — likely a scanned image PDF)

Call: Aug 2025

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Date: August 11, 2025

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai- 400001
Scrip Code: 544292
ISIN: INE013P01021
National Stock Exchange of India Ltd
Exchange Plaza, C-1, Block G,
Bandra Kurla Complex,
Bandra (E)
Mumbai – 400 051
Symbol: ONESOURCE

Dear Sir/Madam,

Subject: Transcript of Earnings Call pertaining to unaudited Financial Results of the Company for the quarter ended June 30, 2025

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of earnings call for the quarter ended June 30, 2025, conducted after the meeting of Board of Directors held on August 04, 2025, for your information and records.

Request you to kindly take the above on record.

For OneSource Specialty Pharma Limited

Trisha A
Company Secretary and Compliance Officer
Membership Number: A47635

"OneSource Specialty Pharma Limited
Q1 FY '26 Earnings Conference Call"
August 05, 2025

MANAGEMENT : ARUN KUMAR – FOUNDER & NON-EXECUTIVE CHAIRPERSON – ONESOURCE SPECIALTY PHARMA LIMITED
N EERAJ SHARMA – CHIEF EXECUTIVE OFFICER &

MANAGING DIRECTOR – ONESOURCE SPECIALTY
PHARMA LIMITED
A NURAG BHAGANIA – CHIEF FINANCIAL OFFICER –
ONESOURCE SPECIALTY PHARMA LIMITED
A BHISHEK SINGHAL – ONESOURCE SPECIALTY
PHARMA LIMITED

Moderator: Ladies and gentlemen, good day and welcome to OneSource Speciality Pharma Limited Q1 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Abhishek. Thank you and over to you, sir.

Abhishek Singhal: Thank you. Good morning, everyone, and thank you for joining us today for the earnings conference call of OneSource Speciality Pharma Limited for the first quarter of financial year 2026. We are pleased to have with us Arun, Founder and Non-Executive Chairperson, Mr. Neeraj Sharma, CEO and MD, and Mr. Anurag Bhagania, CFO of the company, who will walk you through the key business and financial highlights for the quarter.

I trust you have had the opportunity to review our results release and the quarterly investor presentation, both of which are available on our website, as well as the stock exchange website. The transcript for this call will be posted on the company's website within the next week. Please note that today's discussion may be forward-looking in nature, which should be viewed in context of risk inherent in our business.

Should you have any further questions after this call, our Investor Relations team will be happy to assist you. I now hand over the call to Arun to make his opening remarks.

Arun Kumar: Thank you. Thank you, Abhishek. Good morning, everybody. Thanks for joining us early this morning. I'm very pleased to be joining this call today along with my colleagues from OneSource Specialty. I'll make my opening commentary very short and leave the floor to Anurag and Neeraj to discuss both the business and the financial outcomes of the company.

First of all, I think we have had a good quarter. We have basically already guided the Street that we will have a muted H1. We are in line. Our performances are in line with those expectations. Most of you are aware that bulk of our growth trajectory comes from our business in the DDC segment, which is basically GLPs. And many of you know those markets open up only towards Q4 of this year.

We obviously will not in today's call be discussing anything about matters related to our ongoing judicial matters with Novo along with our partner, Dr. Reddy's, as this matter is sub judice. We will also, after Neeraj's and Anurag's opening statements, I will give you a little overview on the inorganic transactions, which are related party. And therefore, I would like to present a perspective on that and how that's coming about. Now, I leave the floor to Neeraj to start his opening comments. Thanks, Neeraj.

Neeraj Sharma: Thank you. Thank you, Arun. And welcome, everyone, to our Q1 '26 results. I'm very pleased to share the progress that we are making on our path to meet the growth aspirations which we have laid out, which is to be a $400 million revenue company organically by FY '28. Or as Arun

just mentioned, and he'll give the details later, this number could be significantly higher if the inorganic opportunities come to pass.

As we outlined in our previous earnings call that FY '26 is a significant inflection point for our business as we transition from our pre-approval revenues to our commercial revenues in our DDC portfolio. So our first half of the year primarily will be focusing, as Arun just mentioned, on executing our MSAs, while the second half will be driven by the commercial supplies of Semaglutide, obviously subject to the fact that our customers will get approvals.

And as a part of this journey and the transition, our Q1 performance has been in line with our expectations, where we have delivered growth both on top line and on EBITDA. In fact, EBITDA growing quite robustly at 37% versus last year and the EBITDA margin being up 500 basis points.

Anurag, my colleague, will walk you through the financials in more detail. And as far as our manufacturing operations are considered, this quarter was focused primarily on strengthening our readiness for commercial supplies in H2. And that's where our DDC business, drug device combination business, continues to deliver a very strong momentum.

Our order book remains very solid. And in fact, all of our customers who are going to be launching the product as the markets open up later this fiscal, have actually raised and revised their forecast upwards, in fact, which is very conducive. And the fact that all these contracts are supported by take or pay, this really reinforces our confidence in the trajectory ahead and basis that we are actually accelerating our Phase 2 of capacity expansion in drug device combinations. And while this is still within the overall $100 million capex plan, which we have announced earlier, but the entire implementation will be completed a year ahead of schedule. So which, as you see, reinforces the confidence what our customers and we have. Going away from drug device combination, another key highlight this quarter was our strategic partnership with Xbrane in Biologics, which is a leading Swedish biotech company.

This collaboration really strengthens drug substance business and accelerates also the regulatory inspection of our drug substance site. Along with Biologics, our focused business development activities have been expanding our funnel across our business offerings. We have added multiple new RFPs and secured new deals in the quarter.

Now, along with the business moving in the right direction, what really gives us a matter of really strong pride for us is our compliance track record, which was once again reaffirmed this quarter as we saw successful back-to-back inspections and approvals by USFDA and ANVISA, which really, really shows our commitment to quality.

In fact, during the quarter, apart from these two, we have had almost 25 inspections done by either our regulatory agencies or our customers across all our sites, and all these have been successful. Along with this, we also continue to invest in the leadership and in building the organization, which is really key to supporting our growth.

In fact, we have announced recent appointments, which both to our Board and to our leadership team. These have really added strategic and commercial depth to our organization on one side, and on the other, really reinforced our commitment to maintaining a very high standard of governance, which we and the group is really known for. Of course, we saw really exciting development last evening. Our Board has given a go-ahead for us to evaluate the potential transactions. Arun will be giving more details on this. And these really have a very good fit with our injectable business and will give us a global footprint. Of course, we will keep providing updates on this as these go along.

Finally, I just want to say that all the hard work which we have done, our teams have done together with the customers during the MSA phase is now on the verge of coming to fruition, and we are really looking forward in the coming quarters, especially in the second half of this year, really excited that the commercial supplies will begin. We really thank all of you for your continued support.

And I will now hand over to Anurag to take us through our financial highlights.

Anurag Bhagania: Thank you. Thank you, Neeraj, and a ve

ry warm welcome to everyone joining us on the call today. I am pleased to present our financial performance for the first quarter FY '26. As Neeraj mentioned earlier, Q1 FY '26, we reported revenues of INR 3,273 million. It reflects a 12% growth year-over-year. The profitability for the quarter EBITDA grew 37% to INR 885 million, with margins improving to 27% in this quarter and translating a 500 bps margin improvement. Adjusted PAT for the quarter is about INR 371 million compared to a negative PAT on comparable previous year. Adjusted earnings per share on a fully diluted basis stands at INR 3.2 per share. As you all know, our PAT and EPS is adjusted for exceptional items and amortization of scheme-related intangibles.

As we mentioned earlier, our target debt-to-EBITDA to stay below 1.5x during the course of this year as we are accelerating some of our capex investments. The timing of these investments, there may be a few quarters as we see where this might go slightly higher than 1.5x, but we are fully committed to get back. This is a temporary phenomenon and we are expecting to get back well in time to the same number that we did earlier.

I want to highlight on the back of the previous quarter where we had a credit rating upgrade, this quarter again we had another upgrade. Proud to say that OneSource is now part of the A family. This development is reflective of continued confidence in our financial management and provides better access to capital and on much better terms.

As you know, over the last few quarters we have prepaid significant amount of high-cost debt and we are consciously balancing our approach to leverage access to capital and debt along with our internal accruals and customer participation in our capex programs. Looking ahead, we continue to build scale and capability investing into the future of the business.

We reinforce our earlier guidance on the financial metrics and expect to be 1.5x EBITDA on our debt metric. The quarter continues to be extremely transformative for OneSource and we have made significant progress over the years and what we see ahead of us sounds even more exciting and we are looking forward to that. Thank you once again and we are very happy to take questions.

Abhishek Singhal: We want Arun’s statement. Arun?

Arun Kumar: Thanks, Neeraj and Anurag. So I just want to give a little bit of overview of these two assets and the background behind it. So, as you all know that OneSource is a culmination of an NCLT process where three parts of the businesses of the group combined and at that time both the Polish facilities and the Baroda joint venture with Brooks was still in the making and was complicating the NCLT process.

As part of our roadshows pre-IPO, we as promoters made commitments to investors that we would bring our CDMO assets in the group or in the family office under the OneSource umbrella and this announcement, subject to various approvals, is the beginning of that commitment that we made as promoters.

In terms of the businesses, the Polish facility is a US FDA approved plant with very significant capacities and it is approved both for pharmaceuticals and biologics. As we speak, we are currently fully committed for our capacities. We manufacture for marquee customers including Europe's largest anesthetic branded product which is currently contracted to be manufactured on a very long-term basis with our facility in Poland.

The plant is also approved by all other regulatory agencies like the European agencies obviously being in Poland, but also in Australia and Canada. More importantly, this also gives us the ability to kind of de-risk the concentration risk that our customers have been emphasizing. While we have no capacities available for sterile injectables, the plant has got am

ple space to expand to

GLPs and we believe that it is pertinent for OneSource to have an additional site to take care of the increasing demand or increasing customer concentrations that we have and the risks attached to those what our customers have been asking us to de-risk.

So we have the option -- we have an option to set up an additional line in time for the markets in both Europe and US to open up and that would give customers, I believe, a stronger sense of relief. Coming to the second facility which is our -- the plant in Baroda which is a partnership with Brooks, we had acquired 51% of this company several years ago. Since then, the company has been transformed to have completed a US FDA approval inspection rather.

We have invested heavily to now have an integrated capability because in the antibiotic space, API control especially for sterile is important. So, this facility has got a captive API conversion capability which it will captively use. We also have our first products approved in the US and that's a very unique strength of penem which we are again the first company to launch that product and it will also have the ability to offer Ertapenem in its lyophilised forms in the next couple of months when we expect approvals from the US, we are already approved in the

European market. Our capacity has been contracted quite significantly. This business, both these businesses in Poland and in Baroda report very healthy numbers. We currently have approximately $65 million of revenues for this year with an EBITDA in the 36% to 40% range and fully booked and committed to deliver $100 million of revenues at the bare minimum in the next year and that's $36 million to $40 million of EBITDA.

The business is expected -- the whole transaction is going -- will go through a new NCLT process, which will take approximately 12 to 18 months and go through the rigors of SEBI approval, pre-approval before we file to the NCLT followed by shareholders’ approval which will include a fairness opinion by a first class banker and then of course it will be a function of additional shares based on valuation. All of these are early days.

At this time, we only have an independent committee of three Directors being formed to evaluate these options and once that comes through and there is alignment between the shareholders and

OneSource, we will obviously take it through the next steps. We believe that both these assets will add significant value to the long-term plans of OneSource which obviously will also mean that our targeted revenue of $400 million with $160 will now have an upward trajectory in excess of $500 million and in slightly in excess of $200 million of EBITDA.
Both these businesses on closure would be near debt free or under $7 million to $8 million of debt on a $40 million of EBITDA run rate for '27. And like I said, the book is fully contracted, so these are not a business case, but more a contracted business that we will look at as to vend into OneSource.
It will not require, apart from an equity dilution, it will not require OneSource to lever any kind of debt or add debt to its books, so this will be accretive from that nature, but obviously these are very early days and we will keep our investors and analysts' community fully updated as we progress on this.
I have a hard stop at 9:45, so I'll be happy to take questions related to any specifics that you guys may have. But Neeraj and Anurag and the rest of the team would be more than happy to address your queries and as always, we are available for one-on-one conversations or through our investor desk. Thank you.
Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Anand Mundra from Soar Wealth. Please go ahead.

Anand Mundra: Good morning, sir. Sir, my questions are related to Canada market. So what is your view? How many players would be launching in this market during the first phase and how many generic player market would be there in Semaglutide in Canada? That was my first question sir. I have two more questions.
Neeraj Sharma: Yes, I'll just answer this. So, your guess is as good as ours. We are seeing right now there are a few companies who have filed in Canada. Now which ones will get approval, we really don't know. But our guess is these are complex products. So we don't expect the market to be crowded

as when the market gets formed. So, in our view, there will be at least at the time of launch, there will be a limited number of players into the market.
Anand Mundra: Okay. Sir, second question with respect to approval. So what is your assessment or sense on January 2026 as a launch for Sema generics? Is there any risk of delay for approval?
Neeraj Sharma: Yes, again, what I would only say here is that these are complex products. But also the companies which who have filed are some of the biggest and the top generic players who are used to handling complex products, who are used to getting approvals. We have already seen some companies getting approvals of Liraglutide, both in Europe and in the US. I think that that gives confidence that companies will get approval. Now when that approval comes and who comes first, I think it's really very difficult for anyone to answer that.
Anand Mundra: Thank you, sir. Thank you.
Moderator: Thank you. The next question is from the line of Nitin Agarwal from DAM Capital. Please go ahead.
Nitin Agarwal: Thanks for taking my question. Two questions. Neeraj, on the capacity that you talked about, now if you can just clarify, when does the 200 million capex plan from here on? Or when does the 200 million vial capacity come through, or cartridge capacity come through now?
Neeraj Sharma: So, Nitin, what we had said, right, that we will be the capex we are building, we will be having all capacity up and running by FY '28. Now we have actually brought it up significantly because we have advanced our third line actually also earlier. So we would be having now this capacity, all capacity up and qualified by end of calendar 2026.
Nitin Agarwal: Okay. And secondly, you also mentioned in your comments about increasing customers, increasing their -- increasing the order sizes, new customers coming on with a lot of take and pay agreements along with it. So if you can just probably help us understand, A, what proportion of the capacity that right now, I mean, is covered right now with the sort of firm contracts? And generally speaking, is it fair to assume that all of this capacity is backed by take-or-pay?
Neeraj Sharma: So I can, I mean, what I would say here is that the months which we are launching, especially the markets which are opening up early starting January next year, all the customers who are scheduled or planning to launch in all these markets, all have take-or-pay contracts. We have take-or-pay contracts with all of them.
And they will take up significant part of the capacity, especially over the next anywhere between 18 to 24 months, because as the launches ramp up and the volumes ramp up in the market, they will -- that's what we are looking at if it answers your question. Arun, please.
Arun Kumar: Yes. Nitin, just to add to what Neeraj is mentioning and to be very specific, at this time we have capacities only for 40 million units. It's safe to assume that a large part of that will be consumed

for the early markets that are opening up. And as you know that the early markets that are

opening up are only mainly Canada and then Brazil and Saudi Arabia, and of course, a lot of emerging markets.
To that extent, we are now very confident that our capacity is very largely sold on the take-or-pay concepts that Neeraj is alluding to. The incremental capacities would, it's a function of us first having the equipments up and running. I think what we are saying is that we believe that the demand is significantly greater than what we had anticipated in terms of timing. And therefore, we are bringing forward the capex and the capacity for 26 technically would be only from that 40 million unit and from 2027 onwards, we'll have a significantly larger number.
Nitin Agarwal: If I could make a last one on that, Arun, there's been a lot of this news around the Novo Nordisk cutting the guidance for '26, kind of in '25, and the concerns around the outlook for Semaglutide. And how is -- how are your clients reacted to it? And is there any change the way we're looking at the business side?
Arun Kumar: We share your concerns, Nitin, but it's just the fact that we are a CDMO and we go by what our customers contract with us, right? And at this time, they are increasing forecasts, willing to pay upfronts, and we can only go by that.
We believe that an improved price point, and there is obviously no worse we can't specifically comment on a company, but I think it's also to do with pricing and patients falling off the regime fairly quickly. I think price points, which the generic industry generally does, will enhance the market quite significantly.
Nitin Agarwal: Okay. Thank you.
Neeraj Sharma: I think to Arun's point exactly, that it's -- what we see is that whatever Novo is talking about in the US is also that they are losing to compounders. So the overall volume is in the US is still getting maintained. And the same that once the generics come in, especially in the markets where -- which are opening up over the next year or so, I think a significant volume driver will be just access. Access to product, which is not there today, will drive and the price delta between Tirzepatide and Sema generic will continue to drive. So we are very confident as our customers are over the next couple of years.
Nitin Agarwal: If I can take one last one, after the permission, in the presentation, we talk about nine NCE-1 molecules, barring, so which are these -- what are the timelines for these, for these molecules to be coming in the market? And they, I mean, do they include, how many of GLP-1s are in this NCE-1?
Neeraj Sharma: This is a very specific question, how I would just like to say that these are very important opportunities and NCE-1 generally are, they are of various molecules, there are GLPs, there are non-GLPs, there are oral technology, there are injectables, all across all our modalities. And these will start entering the market over the next couple of years. And we'll keep you posted as these come up.

Nitin Agarwal: Thank you, sir. Bye.
Moderator: Thank you. The next question is from the line of Abdulkader Puranwala from ICICI Securities. Please go ahead.
Abdulkader Puranwala: Yes. Hi, sir. Thank you for the opportunity. So first question is on, I know you have the capacity expansion. So you mentioned about expediting the 200 million cartridges by the end of CY '26. So based on today and the kind of outlook from what your customers are giving, is there a plan to further expand this from where we are or where we have committed in terms of the cartridge capacity?
Neeraj Sharma: So I think, as you see, right, that this is a moving market, right? What we knew a year back is very different from what we know now, and market continues to evolve. And we are continuously engaged with our custom

ers, as we mentioned, based upon our customer forecast, we have picked, we have advanced our capex program.
And if it is required later on, and our customers want, we would be doing that. Arun already mentioned that if the assets especially the one in Poland, if it comes, we do end up closing that

position. That's an area where we would be doing our next expansion. So we are open and we are thoroughly engaged with the market development.
Abdulkader Puranwala: Understood. And, sir, in our revenue guidance and EBITDA guidance for FY '28, we are not factoring the Poland and Baroda facilities, what is getting evaluated, is that right?
Neeraj Sharma: Yes, that's correct. We have mentioned that $400 million revenue we gave was through organic growth. And if we do end up closing these acquisitions, it will be significant. Arun already mentioned that FY '27 numbers for these will be about $100 million revenue, about 40% EBITDA. So these would add significantly to our guidance. And once it is closed, we will be sharing a revised guidance.
Abdulkader Puranwala: Okay. Understood. And just lastly on your current quarter performance. So if I have to see the current quarter, can you throw some color on how the three segments of the business would have performed?
Neeraj Sharma: So, I think as we have said, that all parts of our businesses have performed. Obviously, the drug device combination, a lot of work, we executed a lot of MSAs. So it's always the key driver. But at the same time, our injectable and soft gelatine business also did. Both our base business soft gelatine and injectable have some seasonality built in because as you know, antibiotics are seasonal.
Some of the large cold products are seasonal. So, it had some seasonality built in into that part of the business. But let's say all businesses, all our service offerings have delivered basis our expectations.
Abdulkader Puranwala: Got it, sir. Thank you and I will jump back to the queue.

Moderator: Thank you. The next question is from the line of Madhav from Fidelity. Please go ahead.
Madhav: Hi, good morning. Thank you so much for your time. I just wanted to get some more additional views on the commentary that you made about customers significantly revising their guidance upwards for the, I mean, for the Semaglutide supplies. Could you give us some sense in terms of how the volumes could play out in markets like Canada, Brazil, where the innovator was present already?
And maybe some of the markets, other EMs where they probably didn't launch or were in early phase of launch as well, like including India. So, and what's changed when you say forecast is higher. So maybe in the last 2 to 3 months since our Q4 call, why are they revising their guidance upwards? Just wanted to get some more feedback. Thank you.
Neeraj Sharma: Yes, I think what I would really like to say here is that it's all a matter of access, right? The numbers which you see right now in IQVIA in both Canada, Brazil, and some of the other markets are primarily a factor of supply. It is not a factor of the inherent demand, the patient population, the incidence of diabetes and obesity, which is very significant in these markets. But the numbers have been really constrained by the supplies from Novo.
And if we do the right analysis on how the patient population is, we will realize that these markets are really underserved. And with generics coming in, we see the access is what is going to drive the volume. And as whichever market, you see the products coming in, the market's expanding. A very clear example also is India, where moment the product is launched, you see a significant uptake, and we see the same picture in these. And I think on that basis, the customers have increased their forecast.
Madhav: Got it. A

nd just to follow-up there, if you could maybe give some feedback separately for markets like Canada and Brazil, where innovator was present there, what's your sense on sort of volume in calendar year '24 or '25, how the run rate is, how the volumes could expand as generic opportunity opens up?
And maybe if my understanding is right, there are like 80 plus emerging markets where Semaglutide generics can be launched. Could you give a ballpark number in terms of how many of these countries Novo didn't launch itself? So these could be like new markets where generics probably formed the market in the first place. Thank you.
Neeraj Sharma: Yes, so to your first point on both Canada and Brazil, while Novo had launched, but again, as I said, the supply had been really constrained. If you know that Novo has really been focused on supplying the markets, which are primarily US and Western Europe. And these markets had very limited supply.
I mean, just, we have the 2024 number of total GLP-1s in Canada, for example, at just about 12-12.5 million. And I think for us, it's clear, and same as Brazil, it's less than half. We see both these markets to be significantly more. And end of the day, obviously, we as CDMO have to follow what our customers say.

I mean, our customers are the who's who of the generic industry. And I think there is nobody better than them to really forecast the market. So, we just make sure that our customer demand is met, and we are set to meet that forecast.
Madhav: Yes, and just a follow-up on the emerging markets where out of the 80 plus countries, where Novo didn't launch itself? Any, very broad number is fine. Like, don't need an exact number, but it's like 30 countries, 40 countries where Novo would have launched?
Neeraj Sharma: I don't have, I can come back to the specific data. But I can say that it's many of these markets, Novo didn't launch. I mean, you can have a clear example that the diabetic capital of the world, the second largest diabetic population of the world, India, they launched as recent as a month back, right.
So, so many, many markets, they have not launched. We don't have that number, we can come back to you. But market formation in those markets will help and our customers, we have global customers, and global customers have global footprint. So, when we supply to them, it's for our customers to choose which market they would like to supply.
Madhav: Understood. Thank you.
Moderator: Thank you. The next question is from the line of Rupesh Tatiya from Shree Rama Managers PMS. Please go ahead.
Rupesh Tatiya: Thank you. Thank you for the opportunity, sir. And I must appreciate Arun for bringing all the injectable assets in OneSource. So, it's really appreciable and my best wishes for the scheme and the whole process. I have two questions, one on Xbrane and one on Brazil. So, in Brazil, sir, will both Ozempic and Wegovy will be launched in 2026 or Wegovy is a little later?
And then are we present at market formation in Brazil? Are we part of Wave 1 launches? And then how is the client concentration in the Brazil? Are we dependent on a single large customer or there are multiple large customers? So, this is the question one on Brazil.
Neeraj Sharma: Yes. So, Brazil, obviously, we are seeing both ways, First launch is of Ozempic. But the way the Brazilian patent regime works, they don't normally allow any change, any separate patent expiry for the same molecule. So, it is likely that they will come. But again, that's for our customers to answer and handle.
From a customer point of view, I can tell you that we have a large customer base, which includes global customers, regional leaders, country specific leaders. So, we have a fairly diverse customer base. It is true, not only for Brazil, it is true

for the whole for the global market. And I think that's where, which is true also for Brazil.
Rupesh Tatiya: Just clarification, we will be present at market formation in Brazil as well, right?
Neeraj Sharma: So, again, if our customers get approval, so we have already said that we, our site got a ANVISA approval. And we are all set, we are all ready from all our approvals point of view. But obviously,

it will depend upon our customers' product approval in the market for us to be there, for them to be there at market formation.
Rupesh Tatiya: Yes, fair enough, sir. And then on Xbrane, sir, I think the press release…
Moderator: Sorry to interrupt. Mr. Rupesh, may we request you to return to the question queue for a follow-up?
Rupesh Tatiya: I just asked one. I had one more on Xbrane. So, I think if you can give opportunity.
Moderator: Please, please go ahead.
Rupesh Tatiya: Yes. So, what is the quantum of investment, sir, in Xbrane? It wasn't mentioned, I think, in the press release. And then when do we expect the technology transfer process for Ranibizumab to begin? And in which year, can you give some timeline on when can we see some commercialization of this molecule? And then finally, how many more future products this partnership will have? This is a question on Xbrane. Yes.
Neeraj Sharma: Yes. So, Rupesh, Xbrane, as I said, it's Swedish biotech, very strong R&D capabilities, very strong pipeline. And with this investment, we have access to their pipeline and the fact that some of the assets which they already have will get transferred. They have assets in -- the products which they manufacture outside could come to us.
And the tech transfer, to your question, when the tech transfer will start? I think the, in fact, the process is already initiated. This is a biologics product. It's a pretty long tech transfer process.
So, we expect the tech transfer to be completed over the next 12 to 18 months. And that will also

trigger our inspection, both from Europeans as well as from FDA.
Rupesh Tatiya: Okay. But the investment amount, can you give some range, sir, INR 100 crores, INR 50 crores, INR 200 crores, some range, what would be our investment in the Xbrane? Yes.
Neeraj Sharma: I think, I don't think that's what we are discussing right now. As I said, the investment is for us to get access and we have a stake in the company. I think we will leave it at that for now.
Rupesh Tatiya: Okay. Okay. Thank you. Thank you. I'll come back in the queue.
Moderator: Thank you. The next question is from the line of Rishabh Gang from Sacheti Family Office. Please go ahead.
Rishabh Gang: Thank you for the opportunity. You give a lot of information regarding the acquisition of the two plants. Just wanted to ask, how do we see the return ratios and payback for such acquisition? That's my first question.
Neeraj Sharma: So I think, as Arun mentioned, right, we have initiated, the process is just initiated, right? We've just had the Board approval to start the evaluation process. So even now we are going to be

engaging bankers for valuation and so on. So, once that is done, I think we will be able to come back to you. If Arun would like to add something. Arun, please.
Arun Kumar: Yes. Neeraj, thanks. So I think to answer your point, first of all, although we have interests across various companies, you need to appreciate that we will not recommend a transaction unless it meets all the governance criteria. And that is why we have a very robust governance process across group companies to ensure that the minority shareholder interests are of the highest order.
We believe that these tran

sactions will be accretive and typically all transactions that we have done should be accretive to the listed company. Like Neeraj mentioned, this is early days. You will have the opportunity to evaluate your question when you see the data that should be available in the next couple of months when all the advisors and the fairness opinion is out. And I think that would be an appropriate time for us to have more pointed questions around that.
Rishabh Gang: Got it. Thank you, sir. The second question was regarding the compounded GLP. Like, if you can tell how big is the compounded GLP market right now? And do we also target this kind of a market, or are customers targeting compounded GLP?
Neeraj Sharma: No, compounding is a phenomenon which is unique to the US and few countries in Western Europe. Where -- but how big the size of this market is anybody's guess. Simply because this market, there is no fixed for the molecule. It is whatever molecules are in shortage, the compounders are allowed to compound. That's how the compounding market works. So there is no fixed size of this market.
Obviously, because of the huge shortage, which was there in the US both for Novo and for Lilly, they were allowed to compound. And I think at their peak, they were able to get a very significant share, anywhere between 8% to 10% of the total share they were able to take. Now that the FDA has withdrawn or asked them to stop compounding, it's anybody's guess.
But I think its important thing is what it shows is that there is very significant demand in the market, which if whether it's Novo or when there are generic launches will come, the patients are all available to take the product.
Rishabh Gang: Got it, sir. Thank you so much.
Moderator: Thank you. The next question is from the line of Chirag Shah from White Pine Investment Management. Please go ahead.
Chirag Shah: Yes. Thanks for this opportunity. I got two questions. Question one is on the potential M&A that you are again embarking on. So is it more of the same or it brings the additional capabilities either in terms of technology or in terms of customer? I know you would have -- you have already indicated earlier, but a brief rewind would be helpful. How does it add up to in terms of value to OneSource? Question one. And I'll ask the second question after that.

Neeraj Sharma: So, I think I mentioned and Arun also mentioned, these -- if, obviously, if approved, these sites bring in significant strength to our core injectable business. They add multiple capabilities. They add to our existing capabilities. They are very synergistic to the fact that we have our penems add to our antibiotic franchise, which is already there with penicillin. We have a very significant expansion to the US business. The customers are some new and some common, so it increases

leverage with them.
And a very important point which this covers is that, this acquisition would give us a global footprint, which is very key for a global CDMO like OneSource. And obviously, the Polish site has got huge expansion capability to add our drug device combination suite there to service our both European and American customers.
Chirag Shah: Okay. The second question was, we have been focusing on generics. Any thought on being part of innovator or what are the challenges over there? And would this Polish acquisition help you to be part of the innovator supply chain? Especially what after the Catalent deal which has happened, you are in a sweet spot in that sense.
Neeraj Sharma: Absolutely. Your point you're making is absolutely valid. So, just to say that we already have innovator customers. In fact, we said that in our biologics business, we already have innovator customers with a new biologic entity. So -- and we continue to add

. But your point on the Polish entity facilitating addition of innovator customers, especially the ones with the next wave of GLPs, it will really facilitate working with innovators.
Chirag Shah: Would you like to just call out what part of the revenue, what percentage of revenue would be coming from innovator for Polish? A broad range also would be fine. If you can help us understand, it would be helpful.
Neeraj Sharma: So, I think as a CDMO, we really do not look at specifically what kind of customers it is, as long as it is diversified, as long as we have the capability. So, we don't really do this segregation here, but we would be happy in the long-term once the business has stabilized, especially in the biologics field, we would be able to share as we progress.
Chirag Shah: Okay. Thank you and all the best.
Moderator: Thank you. The next question is from the line of Suvaan Mittal from MFC. Please go ahead.
Suvaan Mittal: Hello, sir. Thank you for the opportunity. I just have one question. In continuation to a previous con call, you had mentioned that we aim to be significant player in high viscous prefilled syringes. So, is these two acquisitions of USFDA facility one of the first steps to create a foundation in the specialty injectables, mainly with a vision of being a significant player in that? And secondly, if we can be a significant player, can we somewhere mirror our growth and scale in DDCs and some 2-3 year perspective on that?
Neeraj Sharma: So, you're talking about the new site we mentioned today, right? That’s…

Suvaan Mittal: Yes, yes, yes. In continuation to a previous con call, where you had mentioned that we aim to be significant players in the longer term, first of all, to injectables.
Neeraj Sharma: Yes. You know that, right, that we have a very long legacy in the group to be a strong sterile injectable player. And these sites which come in, they both, they supplement our capabilities and complement capabilities which we don't have. And whether it's in the area of ampules, an area which we don't have right now in OneSource, to the area of a very large manufacturing of vials.
Again, it increases our scale of manufacturing at multiple times because of very large capacities which are there, especially in the Polish site, pre-filled syringes get added. So, both, as I said, complementary to what we do and adds capacity to what we are doing. And the very fact that there are significant more, I mean, we all know everybody follows the patent expiries which are coming over the next 5-6 years in biologics.
We also need to look at the significant number of patent expiries coming in the field of sterile injectables. So, we are and want to remain a very significant CDMO partner in this area of injectables and this acquisition will strengthen our game there.
Moderator: Thank you. The next question is from the line of Mehul Panjwani from 40 cents. Please go ahead.
Mehul Panjwani: Hello, sir. Thank you so much for the opportunity. Sir, I have one question I have is about the commentary you mentioned that the revenues will pick up from the second half of the year. And also you mentioned about Q4, there'll be a lot of pickups by the customers. So, can you please elaborate. I am new to the company.
Neeraj Sharma: Yes, I think it's what we just mentioned that, our first half is about executing our MSAs in our drug device combination business and readiness for commercial manufacturing and launches. And we will be manufacturing, we have got confirmed purchase orders from a number of customers and the manufacturing will be done in the second half. And as the approvals come in and as the patent expires, that's how the revenues will start coming in from the second half from all the Semaglutide launch.
Moderator: Thank you. The n

ext question is from the line of Dhruv Gupta from Sagun Capital. Please go ahead.

Dhruv Gupta: Yes, hi. Thank you for taking my question. My question was beyond GLP-1, are there any other therapeutic areas or delivery platforms where you see potential for platform expansion?

Neeraj Sharma: Yes, absolutely. So, I think I have mentioned earlier in previous earnings calls that our strength in OneSource is drug device combinations, right? So, and products which -- where there is an interface between drug and device. And that's what is key. We have got today 10 different molecules in the drug device combination, which we are working for our customers. And only three of these molecules are GLPs.

So, you can imagine that there is a very large expertise which we have. We have expertise in filling drug device combination, in assembling them end-to-end. And now you see most of or a lot of new R&D and products getting approved are in the area of self-administration. And self-administration is really supported by drug device combination.

And you see products which we, our first product approved in US for our customer is a non-GLP drug device combination. Our first product approved in Europe is a product which is a drug device combination in biosimilar area. So, we are always working on various products in drug device combination outside of GLPs. And outside of drug device combination, our very strong business both in sterile injectable and the soft gelatine is really -- strengthens our core base.

Moderator: Thank you. The last question for the day is from the line of Aman Vij from Astute Investment Management. Please go ahead.

Aman Vij: Yes. Good morning. Two questions. One is on our two products, Liraglutide and Teriparatide. We were supposed to launch these products in Europe for a while now. Can you talk about the revised timelines? Do we expect this quarter it will take two, three more quarters? And what is causing this delay? That is question number one.

Neeraj Sharma: Yes. So, Liraglutide already you said our customers have got approvals. It's also CDMO is not always dependent upon one side. It's both dependent on customers and customer priorities and customer's ability to supply us all the material, because our job here is to manufacture as per customer's requirement and also customer's priorities, right? So, it's key for that. So, that's what I would say.

Having said that, Liraglutide for Europe, we have already manufactured this quarter. And our customer will be launching the product and Teriparatide is exactly the same. In fact, we've already manufactured for our customers and it all, the actual launch will depend upon, again, as I said, customer's options and when they want to launch.

Aman Vij: So, is it expected in, say, first half of this year or next second half of this year, both the launches?

Neeraj Sharma: So, we have, both -- in fact, we have both for us. For us, both the products have been manufactured. And as far as OneSource is concerned the launch will be in first half.

Aman Vij: Sure, sir. My second and final question is on the GLP-1 market. So, could you talk about how important is India market according to you for us utilizing that, say, 40 million and 100 million, at least the 100 million fill finish capacity we have? Do you think Indian market can be, like, as big as Canada or Brazil market or it will be much smaller market?

And just to complete this thought, do you think at least for next 1-2 years, given we are present with almost most of the customers who are launching in India, Brazil, even Canada, do we expect we will have almost like 40%-50% kind of market share in Semaglutide generics in the next 2 years?

Neeraj Sharma: Okay. So, on India, so, if you see, obviously, at the face of it, India is the second largest diabetic population in the world. So, there is a very, very strong inherent demand, which is there. Now, whether we will supply or, for us, it all depends upon our customers. We have global customers, and if India is their market, they would launch.

We, as a CDMO, are completely geography agnostic, right? It doesn't matter. We will supply. We have agreements with the customer, and they decide where -- whichever market they want to supply. So, I cannot really say whether they will supply or not to India, but, yes, we are open, and we are open to supply in all markets.

To your question on our shares, we have really global who's who of generic companies, whether it is the global leaders, the regional leaders, leaders in specific large markets, and I don't know what next 2 years, but in steady state, if we see looking at our customer base, it could be anywhere up to a third, at least, of the generic market as it develops, could be serviced by the customer segment, which we have.

Aman Vij: Sure, sir. Thank you for answering the question.

Moderator: Thank you. Ladies and gentlemen, that was the last question for the day. I would now like to hand the conference over to the management for closing comments.

Neeraj Sharma: Thank you. I really, on behalf of OneSource, really would like to thank you for the interest and for all the questions, very insightful questions, which have been asked. And I know it's never enough. We are never able to take everybody's questions, but we really would like to ask you if you have questions to reach out to our Investor Relations team on our website, and we'll be very happy to respond and answer your questions. Thank you, once again, for being with us this morning.

Arun Kumar: Thank you.

Moderator: Thank you. On behalf of OneSource Specialty Pharma Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2025

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Date: November 18, 2025

BSE Limited
Phiroze Jeejeebhoy Towers
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Scrip Code: 544292
National Stock Exchange of India Ltd
Exchange Plaza, C-1, Block G,
Bandra Kurla Complex, Bandra (E),
Mumbai – 400 051
Symbol: ONESOURCE

Dear Sir/Madam,

Subject: Transcript of Earnings Call pertaining to unaudited Financial Results of the Company for the quarter and half year ended September 30, 2025

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of earnings call for the quarter and half year ended September 30, 2025. This earnings call was conducted on November 12, 2025, i.e., after the meeting of Board of Directors held on November 11, 2025, and is being shared for your information and records.

Request you to kindly take the above on record.

For OneSource Specialty Pharma Limited

Trisha A
Company Secretary and Compliance Officer
Membership Number: A47635

"OneSource Specialty Pharma Limited
Q2 FY '26 Earnings Conference Call"
November 12, 2025

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Moderator: Ladies and gentlemen, good day and welcome to the OneSource Specialty Pharma Limited Q2 FY ’26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone telephone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Abhishek. Thank you, and over to you, sir.
Abhishek Thank you all for joining us today for the earnings conference call of OneSource Specialty Pharma Limited for the second quarter and half year ended financial year 2026. We are pleased to have with us Arun, Founder and Non-Executive Chairperson, Neeraj, CEO and MD and Anurag, CFO of the company, who will walk you through the key business and financial highlights of the quarter. I trust you have had the opportunity to review our results release and the quarterly investor presentation, both of which are available on our website as well as our stock exchange website.
The transcript for this call will be posted on the company's website within the next week. Please note that today's discussion may contain forward-looking statements, which should be viewed in context of the risk inherent in our business. Should you have any further questions after this call, our investor relations team will be happy to assist you.
I now hand over the call to Arun for his opening remarks.
Arun Kumar: Thank you, Abhishek. Good evening, everybody. Thanks for joining in today's OneSource call. Appreciate your time. I thought I would give you a little bit of an overview of the scenario as we progress from our MSA phase to commercialization and obviously, there are several questions with regard to several developments in the space. I just would like to remind all our investors and analysts and those who are participating today, as a CDMO, we generally don't get impacted by the regulatory approvals of some of our partners.
I would say, especially with regard to the Canadian opportunity, there seems to be – we have been receiving several questions about what our outlook here is and I thought that would be a good opportunity today to clarify our position. With the Canadian opportunity, there are two waves of filers. In the first wave of filers, there are approximately three or four filers. Most of those names are now in the public domain.
Some of you are already aware that, consequent to the events related to the situation with NOVO, challenging Dr. Reddy and us, you are now fully aware that Dr. Reddy is one of our customers and is not only a customer for the Canadian market, but for several other markets.
Of course, the Canadian market is the first market which opens up from a market formation standpoint and given that it is now in the public domain, that Dr. Reddy’s would probably not be – they haven't said that in as many words, but we believe that at market formation, there may be a slight delay on their launch dates.

We strongly believe that there is – as we speak, this will be the situation for most players in the Canadian market, if not all. And in the first wave of filers, amongst the top players, we have some kind of a relationship, which will ensure that on market formation, OneSource still is an active player in that market. So I think that is very important to know that we are not dependent on a customer or an event.
We have constantly been increasing our customer base and we now have over 20 customers. We have over nine customers who will launch product in several markets on outside of Canada. So effectively, as all of you know, those dates for the GLP launch for semaglutide starts

from
March.
In the next two quarters, we will continue to focus on being getting ready for the markets, for launch plans that customers are given. Several of our eight to nine customers that we mentioned have provided us take or pay and reservation fees. So we are very confident of what we believe that we will become a very significant and strong player in this space.
Having said that, obviously, we believe that the Canadian launch would have given a fill-up to the general positivity about the space. But we are super excited with all the other opportunities that we see, especially with significant market share that the innovators are getting in emerging markets as soon as supplies arrive. And therefore, we believe that not only the markets will expand significantly with quantities in terms of demand, but in also in terms of our capacities being fully occupied.
You will also appreciate that consciously we did not guide for this particular reason that we are not in control of the regulatory pathways of our partners. Say for our partnership with NATCO, which is also the public domain, and there we have a profit share arrangement and this is a material profit share arrangement, but that obviously is for the regulated market. And many of you are aware that we now have a first-to-file situation with our partner NATCO and most SKUs in several markets. That's far away from now, and therefore, at this time as a CDMO, our focus is to fill up as much as capacity as we can for the markets that we expect to launch.
So we are now very bullish on what the next year will look like, and we are very confident and we are willing to reiterate our 2028 guidance for INR400 million on the base business, and then with the inorganic businesses that are also performing strongly to now reiterate our INR500 million outlook for FY 2028 subject to shareholder approvals. We expect to start consolidating from the next financial year the new businesses that we have announced subject to, like I said, the regular approval process.
While Neeraj will speak about the general opportunities, we also mentioned that we have stopped onboarding new DDC customers simply because we do not have the capacities. And we are rapidly expanding our capacity installations, and we will be fully ready by the end of calendar year '26, almost a year ahead of our previously announced schedule in terms of readiness for over 200 million units of capacity for our pens. And outside of the GLPs, we also have added several new products that are drug device combinations, and we are excited about the opportunities and the logos that we are acquiring.

I would like, I know that there will be a lot of questions on Canada and we will be more than happy to answer that, but in the last several months, we have been heavily focused on the other modalities because, honestly, we are fully sold out on our drug device combinations, and I'm delighted to announce the velocity of our biologics business, and we believe that our installed capacity of 4,000 liters will not only be taken fully, but will need instant expansion as we meet increased demand for both mammalian and microbial on the drug substance.
So, overall, all our modalities are doing well. Many of you will also recall that we did announce that our flagship steriscience plant, which is a little dated in terms of age, 20 years, FDA approved, is going through a major capacity expansion and retrofit, and this also will come through the next year. So, overall, very excited about the opportunities that we bring about for the next financial year, but also for reiterating a long-term FY 2028 commitment.
Now in the next six months, obviously, we live in a space of ambiguity. There are several steps that we need to succeed in terms of our partners getting approvals. Of course, India launches is a no-brainer. We've already got

some of our partners getting approval, so we expect to be in the
market on day one. We expect approvals in other emerging markets of our partners. Our own portfolio, a product that we have partnered with a leading MENA player is expected approval within the timeframe.
So towards the end of March, when all the other markets outside of Canada opens up, we should be in a good situation to also now go back and give you more specific guidance for the next year and going forward. So, the next two quarters is ambiguity. We are busy. We are producing every day. Would we be in a position to revenue recognize? Would we be in a position to shift?
These are evolving situations that at this time, some of them being matters related to the court decision, or matters related to regulatory approvals, or things that we are not in control. And considering that we have stopped our onboarding new customers, obviously, we do not have capacities to add more. We will have a strong operating performance, but I'm not sure what we're going to report in the next quarter.
So, I just wanted to be on this call to caution our investors that everything is hunky-dory, but our numbers may not necessarily reflect the true nature of the work that we are doing and the

business opportunities that we are sitting on.
And with that, I'm more than happy to take questions towards the end of the call. I leave it now to Neeraj, to open his comments.
Neeraj Sharma: Thank you, Arun, and…
Moderator: Thank you.
Neeraj Sharma: Sorry. May I?
Abhishek: Yes. Yes.
Moderator: Please go ahead, sir.

Neeraj Sharma: Yes. So, thank you, Arun, and welcome everyone to our Q2 results. As Arun mentioned already, our performance in Q2 has been very much in line with expectations. We had quite healthy revenue growth, supported by a number of MSA executions, and even the EBITDA saw a very robust growth of 37%.
In fact, the EBITDA margin expanded by more than 500 basis points, so all in right direction.
And in fact, even our recently announced acquisition or proposed acquisition in Poland and in Brookes, they have also performed well.
And in fact, on a pro forma basis, the combined revenue for the first half of the year of both the incoming businesses and OneSource are almost US$110 million, at a very healthy 30% EBITDA margin.
So this performance of the combined business really reinforces the confidence we had in this and the strategic fit we think there is between the combined businesses. Coming specifically to our current business areas, our drug device combination, Arun already mentioned that, the order book here remains really solid.
And in fact, this is the basis of us accelerating our capacity expansion, which we announced in our last earnings calls. Those of you who recall that, that because of -- for us to be able to support our customers and ensure commercial supply in FY 2027, the capacity expansion plan is really proceeding well.
We will have almost eight to 10 customers actually launching next year across multiple global markets so that will be a key driver and that's what gives us great confidence for it. And in fact, the additional capacity which is going to be put up is really going to be supporting the anticipated demand as well as support the mid-term outlook also, which was mentioned just now.
So, while we expand our manufacturing capacity one thing which we have always said and which really is a massive great pride for us is our compliance track record. And I also am happy to say that in our last quarter, we had 10 successful inspections. And in fact, in the first half of the year, we have had 37 successful customer and regulatory inspections.
So, it really talks well of the quality commitment which we have in OneSource. Along with, along with DDC, basically our really the strong momentum in getting new RFPs has continued across all our

service offerings, across all modalities. This quarter, we added 26 new ones.
And these are apart from the wins which we have had in MSAs and licensing agreements which we have signed. What is really also heartening and for us as OneSource is the fact that the entire genesis story of OneSource, why it came into being, is playing out where thanks to the cross-selling we do across modalities, today we have got 12 customers common across modalities. So, which was the genesis of one source, and which is what is playing out.
As also Arun has already mentioned, our last two quarters, we have seen a significant traction on our biologic business, on the back of both very strong BD activity and customer outreach done by the team, as well as some very favorable industry tailwinds. I mean, you are already

aware of the US Biosecure being there very much, which is forcing the innovator and biotech companies to seek new CDMO partners.
And at the same time, on the other end of the spectrum, the recent simplification of the biosimilar approval pathways by both FDA as well as the Europeans really means a big boost to the biosimilar development for comparative CDMOs like OneSource. In fact, today our biologics funnel is almost 4x of what it was in FY '25.
Along with biologics, I also want to talk about our base business where both soft gelatine and injectables, soft gelatine is entering the traditionally strong quarters from a season point of view.

And in parallel, we also continue to see very robust interest in our soft gel CDMO capacities, which as some of you may be aware went online recently.
On injectables, we are scaling up both our organic expansion, which is both in adding new capabilities, as well as the recently announced acquisition, which really would position us among leading sterile fill-finish CDMOs. It will expand our global footprint, it will strengthen our positioning, and the fact that we'll be able to service customers across markets. So that's something, which is very key for us, and the acquisition is – the process is moving well.
Finally, I really want to acknowledge the dedication with, which our teams work in very strong collaboration with our customers during the whole MSA phase. While the next couple of quarters, as Arun mentioned, will be shaped by the semaglutide approvals of our customers. We remain highly confident in our preparedness and also the inherent market opportunity, which is there for semaglutide in markets like Canada, Saudi Arabia, India, Brazil, and many others, which makes us highly confident of a very strong FY '27, basis all these launches. And, obviously, along with contributions from the incoming businesses, we, as you know, we have raised our FY '28 revenue outlook to INR500 million, which we are all set to move towards.
We thank you all, both investors and analysts, for the interest in OneSource and continue to seek your support in the journey ahead. Thank you.
I'll pass on to Anurag to take you through some of the financials.
Anurag Bhagania: Thank you. Thank you, Neeraj, and a very warm welcome to everybody joining us on the call today. I'm very happy to present our financial performance for the second quarter and the first half of the financial year FY '26.
We delivered a very strong quarter with a revenue of INR3,758 million. It's a 12% year-over-year growth. In terms of profitability for the quarter, we grew 37% on EBITDA, reaching INR1,065 million, and the margin expanded to 28%, which is a 506 business points improvement versus prior year.
For the first half, the performance is consistent in terms of what we saw in the quarter. We reported INR7,030 million for the first half of the year, up 12% year-over-year, and EBITDA of INR1,950 million, maintaining a 28% margin.

In terms of

the quarter; PAT, we reported an adjusted PAT of INR449 million. You can see on the investor presentation. This will compared to a negative PAT that we had last year. In fact, our reported PAT also is a positive for the quarter.
Adjusted earnings per share on a fully diluted basis stands at INR3.9 per share. As you know, our PAT and EPS are adjusted for exceptional items and amortizations of scheme-related intangibles. It is important to note that our balance sheet includes goodwill from the scheme of arrangement, reflecting the strategic value for our stakeholders coming out of the transaction in the past.
This goodwill is non-cash item and has no bearing on the operating performance or liquidity of the company. As of September 30th, moving on to our working capital, we had a working capital of INR 5936 million. It is currently elevated, and this includes planned buildup of inventory for long-lead items that we are preparing for upcoming future DDC launches.
These purchases are made on behalf of our customers and are backed by either customer advances or commitments from our customers with valid purchase orders. While this is a temporary drag, we do expect the working capital to normalize over the medium-term. Our net debt currently stands at INR 9033 million, which is an increase of INR 4326 million compared to March of 2025, which is a year-end last.
This increase is largely demonstrated in the ongoing capital expansion that we are doing, which we are actually accelerating in terms of our capex investments. As we have already mentioned, we are pulling forward our Phase 2 capacity expansion plans, and it is progressing in full swing to support our FY '27 commercialization plans for DDC business. Over the past few quarters, as you already know, we have prepaid a significant amount of high-cost debt, and we continue to take a balanced approach to funding.
Since the listing in January 2025, we have had multiple credit rating upgrades and are now part of the A family, which has been of significant strategic advantage, enabling us to secure financing on much better terms. This is reflected in our significant improvement in effective interest rate, which is down 140 basis points versus prior year, and it is now in single-digits. We look forward to the future ahead, extremely excited about what the future lies for us, continuously focused on investing for growth and maintaining the financial discipline to deliver to our commitments.
With that, I pass it back to Abhishek to open it up for questions.

Moderator: Thank you very much. The first question is from the line of Abdulkader Puranwala from ICICI Securities. Please go ahead.
Abdulkader Puranwala: Yes. Hi, sir. Thank you for the opportunity. So my first question is with regards to your de-risking strategy in the geographies for SEMA or GLP-1. So could you help us or could you rather provide us your key market-wise customer concentration that is across Canada, Brazil, India and MENA? How many customers would you be serving in each of these markets?

Neeraj Sharma: Yes. Abdul, this is Neeraj here. Thank you for your question. So, as Arun mentioned, I mentioned as well that we have got multiple customers across each geography, right? We are really fortunate to have really the who's who of the industry. These are whether they are global leaders, regional leaders, country leaders.
So in each of the large markets, whether it is Canada, whether it is Brazil, whether it is Saudi Arabia, India, we have a number of customers. As you can imagine, I won't be able to give you the names of these customers specifically, but really we have got multiple customers and these are either the number one company in that country or market or certainly among the top five leaders. So that's what the de-risking Arun was talking about, both from a regulatory pathway as well as f

rom the market share acquisition pathway.
Arun Kumar: And just to add to what Neeraj said, see most of our customers are either regional champions or national champions. So, effectively, when a customer comes to us for a GLP program, it runs across several countries. So, the key here is I'm just trying to make a differentiation between the Canadian launch and the rest of the world, which opens up in April. And that's why I'm saying that we feel very strong about the next year for both invoicing and capacity. This year, we are still full for capacity, but we are not sure about revenue recognition.
Abdulkader Puranwala: Okay. Okay. So, just on the capacity front, so now that we have some bit of clarity for the existing one and the new ones, is there any plan to take this ahead or from where it is? That is a call we might take sometime later.
Neeraj Sharma: Yes. So, right now we are very focused, Abdul, on making sure that the capacity which we have planned, we put it in plan because of the confidence we had in the forecast of our customers and our customers have really pushed us. We have accelerated the plan. We've actually brought it up, as you're aware. And I think for our medium-term outlook, once this capacity is brought online, we should be good to meet our medium-term outlook.
And as and when there's a requirement to expand further, we will do that. We already said that our next expansion will be happening outside of India. And one of the synergies which we have from the recent acquisition which we have done in Warsaw, this could be an area for us to go for next expansion. But for now, the current one should suffice for our mid-term outlook.
Abdulkader Puranwala: Understood. And just a final one from my end, on the guidance revision. So, we're now talking about achieving $500 million of revenue and some incremental coming from the proposed acquisition. So, if I look at one of your slides where you have mentioned your H1 numbers, I think for the proposed acquisition that revenue is somewhere around close to $29 million for the first half. So, when you're making this additional $100 million of revenue, is that coming from this acquisition due to some seasonality or we are kind of increasing our estimates for the base business growth as well?
Arun Kumar: Yes. So, I can explain that. So, $29 million, if you recall, the $100 million is for FY '28. So, we are now, our analyzed run rate is already $60 million, if you look at it. And so, getting to $100 million the following year, we don't see that to be difficult.

Moderator: Sorry to interrupt you, Mr. Puranwala. We will request you to please rejoin the queue. We have participants waiting for the turn. Thank you. The next question is from the line of Madhav from Fidelity. Please go ahead.
Madhav: Hi. Good afternoon. Thank you so much for your time. Just want to understand in terms of our capacity numbers that we have, you know, going to 220 million units by end of CY '26. How should we think about, like, the maximum capacity utilization that we can do? How does it usually work at our plants? Like, can we, you know, given the right amount of demand, can we actually produce 220 million? Or would there be some changeover time, et cetera, that we should track in? That's my first question.

Neeraj Sharma: Yes. So, Madhav, I just, you know, as I mentioned, that we have, when we initiated the capacity expansion and are now accelerating it, it's all based on our significant customer forecast. In fact, our customers are participating in our capex plan, just to get access to capacity. Having said that, you know, as a CDMO, it's very important for us to build capacity and then get customers. We can't -- as a CDMO, there is only finite capacity utilization we work with so that we are able to meet the needs of our customers as they expand. So, it's very difficult for me to

give you a number, whether we'll be at 40% or 50% capacity utilization, because as you yourself mentioned, while the headline capacity is 220 million, it varies from product to product. It varies from size of the fill and so on. Plus, we also will continue to run the MSAs, which is the pre-commercialization revenue. So including different products, including different volumes, including MSAs and CSAs, we will have a significant usage of our capacity and still have some capacity spare to meet, to add new customers and the need for our increased need of our existing customers.
Madhav: Got it. Sir, is there a range of capacity utilization that this is like between 60% to 80% or it could be a wide range as well, but just to understand, because this is not an industry, at least I've seen all these lines.
Arun Kumar: Arun here. Let me just try and put some context to your question. It's a good question in the first place. As a CDMO, we have a targeted revenue per day of filling or per day or a batch. So that's irrespective of, so the 220 million capacity will never translate to 220 million units, even if you are producing for a single customer the same product for the right reasons, like you said, changeover times and stuff like that.
So the adjusted capacity is a function of various factors, but the adjusted capacity will then be priced at a different price point depending upon the volumes. So consequently, your focus should be on our overall '28 guidance, which gives you a clear pathway.
DDCs will be a big part of that and the 220 million capacity is a capacity that as a CDMO we are building in anticipation of demand. Will we use all of it? The answer is no. Do we need all of it as we speak? Also the answer is no. But do we know what the actual demand will be? The answer is also no.

But as a CDMO, we need to be ready for a potential opportunity. And as we're seeing significant demand growth, when the innovator has either partnered with companies worldwide or launched products in emerging markets, we're seeing significant demand increases.
And therefore, we believe with a combination of affordability and availability, the volumes will expand. And we don't want then our partners to be shortchanged for capacities. And that's the reason why we ask our partners to partner with us even in the investments for these capacity expansions, either in the form of capex contribution or even reservation fees.
So, I mean, if in your mind you're thinking it's a $1 product, and when I get to $220 million, the answer is no. We don't sell anything at those levels. So if we are building capacity, if we do not build capacity in advance of anticipated demand, we cannot be an effective CDMO.
Madhav: Got it. That makes sense. And the second question was, like you said, there's a lot of demand obviously coming outside of Canada as well, given product was generic in several markets. You mentioned some markets which are key markets, but could you give some sense in terms of your customers are planning to launch in how many markets, like these 10 customers you've spoken about? Is it like 20, 30 countries? Or is it more than that? Like if you include some of the ones? Thank you.
Arun Kumar: In that range
Neeraj Sharma: Yes, I mean, again, I think what is really important would be to see that our customers are going to be launching in all key markets. So it's not the number of markets which are important, because there are actually a very large number of markets. We have 70 plus markets getting a parent expiry in March. But I think what really you need to focus on is that the large markets where most of the market resides, we have customers who will be launching in each of those markets.
Madhav: Thank you.
Moderator: Thank you. The next question is from the line of Nitin Agarwal from DAM Capital. Please go ahead.
Nitin Agarwal:

Hi, thanks for taking my question. If you can just help us understand a little bit around, you know, who are the, what kind of competitive, the competitive landscape on generic SEMA from fill to finish? I mean, who are the major, in which geographies do we have major competitors?

And how do we some of these things evolving as we go forward?
Neeraj Sharma: So, Nitin, to your point on a question on, you're talking about fill to finish competitors, right? That's your question?
Nitin Agarwal: Yes. Yes.
Neeraj Sharma: So, again, it's an evolving space, right? As far as you know, Nitin, that we were the pioneers in this space. And because of that pioneering status, we still are sitting with the largest number of

customers in GLP -- generic GLP. Now obviously, like we are expanding our capacity 5x and which is what, again, where we were the first ones to announce already that we are expanding capacity to service our customers, both existing and potential. Same way, we keep hearing companies adding capacity to do -- to be able to service.
Our feeling here is, a, the market is huge. When we are talking about potentially 1.5 billion to 2 billion people as a potential patient population for these products, no matter what capacity is added, it will be eaten up because right now, the biggest challenge is access of these products for patients. You have seen how market which was starved market like India, which is completely starved and how within a span of eight months, Mounjaro has become the #1 brand in the Indian pharma market.
The same is true in other markets where the innovator launched late, South Africa and so on, where you will see -- so there is a very large demand. And honestly, no matter what capacity gets added, it will be taken up. And I think that's our firm belief, and that's why we are absolutely accelerating our capacity expansion.
Nitin Agarwal: Secondly, on the -- sorry, our first 40 million capacity, which is there and the take-or-pay agreement that we keep alluding to, I just want to just understand from you, are there these take-or-pay arrangements that we have for the next couple of years in particular, do they have any conditionalities attached to them in terms of your customers getting approvals or any specific triggers which lead to the take-or-pays? Or these are standard take-or-pays irrespective of whatever happens with the customer filing?
Neeraj Sharma: So Nitin, it's -- the question here is, it's take-or-pay is take-or-pay. But obviously, while take-or-pay means that we have to manufacture for the customers, I mean, we have the slot and we will be manufacturing some of the demand which customers have. Now it's also the question of how much revenue we are able to recognize. And that's where Arun's point was. So because our take-or-pay is in multiple shape, it is in shape of taking capacity allocation fees. There is a participation in capex for our customers.
So it's in multiple forms. So we might be able to recognize some of it. We might not be able to recognize some other factor part of it. Again, end of the day, as a pharmaceutical business, the customer getting approval is the real trigger for us to be able to really show the sales, right? So that's why while we are sure that the customers will be there at the time of market formation, but approval is key.
Nitin Agarwal: Thank you so much.
Moderator: Thank you. The next question is from the line of Rupesh Tatiya from Long Equity Partners. Please go ahead.
Rupesh Tatiya: Hello, sir. Thank you for the opportunity. I think I looked at the Slide 8, I think 2 new platforms we have added. So it's really nice to see. My question is, sir, for whatever 20, 22 customers you have for semaglutide, are you doing device assembly for all of them? Or is there like a significant

number where we're only doing cartridge filling and device assembly customers is taking care at its own end?
Neeraj Sharma: So Rupesh, our biggest value proposition to our customers is end-to-end we supply, right? So not only we do development for them, we will do commercial manufacturing for fill finish for cartridge, pack it, put it in the box, serialize it. So the box which a patient opens at home is the box coming out of one source site. And that's a huge value proposition to our customer, which is what customers value. And 100% of our customers will be getting fully assembled packed product from our site.
Arun Kumar: And just to reiterate, Rupesh, we do not produce anything only with a cartridge unless it's a full service.

Rupesh Tatiya: That's very clear. And then maybe just to understand from a competitive point of view, how many of competition has this device assembly capacity across 10, 11 platforms?
Neeraj Sharma: No one that we know. And that's what -- not just in India, even globally. And that's the differentiation which we offer. And I said, that's the flexibility what OneSource offers and our customers value.
Rupesh Tatiya: Okay. And then the second question is, I think you said that non-Canadian markets at least will start opening up from April. So, on the base, 40 million capacity, is it fair to assume that will go to 10 million a quarter run rate fairly quickly in one or two quarters? Even if whatever happens to Canada, yes.
Neeraj Sharma: I would not speculate. I think Arun put it very well when he said the capacities in our sterile injectable business do not work, you know, pure linear mathematics. You know, there are a number of things.
Arun Kumar: I think we should address this. To answer your question, always take away the unit conversation to dollar conversation. So, we can't give you an exact unit measure for what -- first of all, like one of the earlier participants asked, 40 million is not actually 40 million unless it meets a certain criteria. 40 million is installed capacity. The deliverable capacity could range anywhere between 15 million to 20 million. That has got a certain dollar number, which we don't discuss.
It's not anywhere near the one or two dollars that is currently assumed it is when competition comes in. Will we be able to have those kind of revenues on a quarterly basis from Q1 of next year? The answer is yes, because most of the markets open up from March end, last week of March, and there would be -- we do not see that to be challenging from that perspective.
So, for example, if our installed capacity is equivalent to 50 million or 100 million, your question is, can we see a granular 12.5 million or 25 million quarter from DDCs? The answer is yes, but that happens from Q1 of next year.

Moderator: Sorry to interrupt you, Mr. Tatiya, but can you please rejoin the queue? Thank you very much, sir. The next question is from the line of Chirag Shah from White Pine Investment Management. Please go ahead.
Chirag Shah: Yes, thanks for the opportunity. Sir, two, three questions and bit of clarification also. So, first, for this GLP, on the innovator side, if you would like to specifically call out, I know the Polish entity has got some innovator customers and even Biologics, we have some innovator customers. But for the GLP, this facility, so are we choosing not to be a part of innovator? And if not, then what would it require to be a part of the innovator supply chain?
Neeraj Sharma: So, Chirag, I would, you know, it's not that we don't want innovators as our customer. We pioneered in the area of generic GLP1s. As you know, more than one customer of ours have got the first-to-file status in the US.
So, we were early on this in this area. And because of that, we have built a very large customer base in the generic space. But so, does it mean, you know, this

rules out Lily and Novo to come to us? You know, these companies may not be fully comfortable.
But at the same time, I want to tell you that there is a huge pipeline of innovator products which are in works beyond these two companies. And we are -- as we speak, we are actively engaged, you know, being a CDMO partner of choice of some of the next phase of innovators.
Chirag Shah: That is helpful. And last question or clarification on the merger. If you could just refresh us, what could be the range of dilution, if at all, because of this merger? The two entities that are getting merged?
Neeraj Sharma: So, I think it's about from 11 million to 14 million, perhaps 110 million to 140 million.
Chirag Shah: Number of shares?
Abhishek: Can we get back to you?
Neeraj Sharma: We will get back to you on this, Chirag.
Abhishek: Its roughly around INR2.5 odd crores, INR11.5 crores to around INR40 crores.
Chirag Shah: Approximately INR2.5 crore of dilution, okay.
Abhishek: Approximately 2.5 crore additional shares. Yes.
Chirag Shah: Additional shares. Okay, additional shares. Sorry-- that's what I was referring to. Thank you and all the best.
Moderator: Thank you. The next question is from the line of Sanjay Kumar from ithought PMS. Please go ahead.

Sanjay Kumar: Hi, sir. The first question on biologics. I think you said, you mentioned we have a capacity of 8 kL. So, at 8 kL capacity, can we do like $50 million revenue? And when can we utilize it fully? And how much expansion are we looking at for our reactor capacity?
Arun Kumar: Before we answer your question, we actually have an installed capacity of 4 KL that was a miss from my side. And with very limited capex, we can take that to 8 kL. So, that's my mind.
Neeraj Sharma: So, we've got 4 kL, Sanjay, 4 kL of mammalian capacity. And in addition to that, we've got 1 kL of microbial capacity. And in fact, we are fairly unique in our microbial because there are not very many CDMOs in India who can claim to have multiple sizes, right from 50 liter to 300 liter to 1,000 liter to offer development as well as commercial, clinic as well as commercial capabilities.
So, to answer your question whether the capacities are -- by when they will be going to go completely online, I will just tell you, I think we have, I mentioned in my talk that we are seeing a very significant increase in our funnel for biologics for the multiple reasons that I mentioned. And these are coming both from biotech companies as well as from the biosimilar companies. There is a huge interest, especially now, both to reduce time to market as well as being competitive in this space.
So, we see that the current capacity is to be taken up. And we are already evaluating possibility of expanding some of these capacities to be able to serve our customer pipeline as and when it fructifies.
Sanjay Kumar: Okay. Okay. So, can you talk about the number of programs, if not revenue, and what kind of programs have you signed in the new modalities, non-GLP-1 modalities? Do we have a CHO platform or will we transfer technology from our customers?
Neeraj Sharma: Yes. So, we have already mentioned, if you see our note that, we have right now as we speak, we've got 50 plus RFPs which are running. These are across modalities, whether it is, soft gelatin, injectables, biologics. So, these are multi-modality RFPs and we continue to get customers whether they are -- these are up to licensing arrangements and others. So, these are -- you ask for a number, as I said, 50, more than 50 RFPs running across modalities for us.
Sanjay Kumar: Okay. Final question, sir. So, another listed player is going from 40 million device capacity to, say, 140. So, how long will it take for players to get to 100 million or 200 million device capacity? And you also said that the realizations are nowhere close to $1. Is it because of lack of

capacity and does that mean once capacities start coming in, we'll come down to $1?
Neeraj Sharma: So, I think, what I would say, I really can't comment on how much time it will take someone else to do, add capacity. I can only tell you that this is a really long gestation to add capacity, to add, to get a line is a typical lead time of two years.
So we -- if you would recall last year when we had done the fundraise before our listing, we had that time only that we would be using the proceeds to, for a capex. So, we proactively had placed,

that's why we are in a position to say, as I mentioned, that in calendar year 2026, we will be able to have that capacity in place.
Now, whether some of the other competitors, whether when they placed, how they placed, honestly, I won't be able to tell. But what is more important here is not so much having the capacity, but also having a customer base, which is -- which you have to be able to fill that capacity. And customers need a lot of confidence. These are complex products.
These are, you know, you are seeing how the regulatory framework is moving in some of the markets like Canada. So, these are complex products. And it would not be easy to become an easy fill finish for the prices, really, to become. It will not be a price game. At least for the next couple of years, this will be an access game. This will be, for accessing capacity, companies will be willing to pay.
Moderator: Sorry to interrupt, Mr. Kumar, may we request you to please rejoin the queue? We have participants waiting for their turn.
Sanjay Kumar: Okay.
Moderator: Thank you. The next question is from the line of Alankar Garude from Kotak Institutional Equities. Please go ahead.
Alankar Garude: Hi. Thank you for the opportunity. Just one question from my side. Arun, you spoke about having full utilization in the second half, but being unsure about revenue recognition.
So, the question is what exactly is the revenue recognition policy for us, specifically for the commercial supply agreement?
Neeraj Sharma: So, this is a very specific question you're asking. We do not really be able to tell you what the

revenue recognition policy would be. And obviously, it will vary. It will be varying as a concept, what we have with the customer. But revenue recognition is always accounting standards, so that we will follow the established accounting standards on that.
Alankar Garude: So, there, Neeraj, just one question. Do we recognize revenues broadly once the products are shipped from our end or is there any other policy?
Neeraj Sharma: It is. It is, actually, we just took him. That is the case.
Alankar Garude: So, we -- yes, sir.
Arun Kumar: So, just that you understand our take or pay concept or a contribution to CapEx is, in our scheme of things, a commitment a partner makes to us for a long-term engagement. If it's a CapEx commitment, it doesn't necessarily mean that we can easily revenue recognize until we actually commercially ship. In some cases, a take-or pay would mean that even if the customer doesn't take their forecasted volumes, they're obliged to pay a certain amount of money.

So, it's all dependent upon contract. It depends upon the language those contracts are written. And consequently, it varies in terms of recognition. It's a function that we follow international accounting practices. And obviously, in some cases, we can recognize revenues. In some cases, we can accrue it. In some cases, we can't. So, it's a function of multiple things.
At this time, in our early evolution of the company, we wanted customers to stay invested with us long-term, because we were putting a significant amount of capex. And in some cases, we were very happy for them to just participate in our capex programs and then adjust it against

supplies.
In some cases, we had already invested capex, but we were reserving capacities for them in anticipation of a launch. And if they don't launch, we are technically not supposed to be producing for somebody else. That's what the spirit of a take or pay is. So, it's a complicated model, as all CDMOs would have. And as soon as we are able to recognize, we do recognize.
At this time, all we're trying to say is that we are fully sold out for our capacities and we're very busy with our programs. Some of it, are residual R&D commitments that we have. Some are new non-GLP programs that we do. And hopefully, we should be able to commercially ship and recognize revenues in some cases where we currently can't.
So, I'm just trying to tell you this again and again. It's because of this particular reason why very atypical of the group. We haven't guided for this year right from the beginning. It may change next year. We will be able to give a much better ballpark number as we would do in the group constantly. And that is why we started off with a mid-term and then we slowly closed the gap between our FY 2028 outlook and yearly outlook starting next year.
Alankar Garude: That's helpful. That's it from my side. Thank you and all the best.
Moderator: Thank you. The next question is from the line of Aman Vij from Astute Investment Management. Please go ahead.
Aman Vij: Good afternoon, sir. My question is on the GLP-1 side. Sir, you talked about some uncertainty for Q3 -- understand a bit longer, say, Q4 and Q1.
Moderator: I'm sorry to interrupt you, Aman, but your voice is breaking. Can you please check?
Aman Vij: Yes. This should be better.
Moderator: Please go ahead.
Aman Vij: Yes. So, sir, I was trying to understand. Q3, I understand some uncertainty maybe because of say Canada launch delay by most of the customers. But at the same time, I believe March, there's this India launch pending and then Brazil and Turkey in the next maybe two, three months after that.

So, what is the feedback you are getting from customers in terms of traction for Q4 and Q1? Can that compensate the launches in other three geographies, because most customers are launching in all three, four geographies? Compensate for a slower, say, Q3?
Neeraj Sharma: So, the plan is that customers who are really confident of getting the approvals in the other markets, which are non-Canadian markets, will be getting the products made in quarter four. It's just, again, a matter of how much material gets shipped out in quarter four for us to be able to recognize. So, as of now, we see that customers will be wanting and we will be manufacturing.
Aman Vij: Sure. And my second question is, say, new capacity is coming online end of calendar year 2026.

So, before that, as sir alluded, we have a capacity is 40, but utilization might be like 15, 20 million devices.
Sir, is there a chance if the other geographies demand is more than maybe some other finish players can take markets here because we don't have the capacities ready? Do you see a scenario like that?
Neeraj Sharma: So, as I think I mentioned earlier, also the capacity we are adding is in phases. So, it is not that suddenly from now it will happen only at the end. There will be a number of phases. There will be some capacity getting added by May or June.
There is some other capacity getting added by September or October and then by end of the year.
So, it will be in phases. And as and when our customer demand comes, we should be able to, we feel confident we will be able to capture that.
Aman Vij: Sure, sir. A final question from my side, do you think that the most important customer for us is DRL and their Canada launch is delayed, but does it have impact on, say, their other countries' launches like maybe Brazil or Turkey? Or that is separate according to your conversation?
Neeraj Sharm

a: As you know, right, each market has its own regulatory environment. And, yes, so as you know, right, India has already approved. Dr. Reddy has got approval in India. So, there will be. I mean, each country works differently.
And our customers as we speak remain confident that there will be approval. So, it is just a matter of time. But that is the benefit of having multiple customers in multiple markets.
Aman Vij: Sure, sir. Thanks for answering the question.
Moderator: Thank you. Ladies and gentlemen, due to time constraints, that was the last question for today.
I now would like to hand the conference over to the management, for closing comments.
Neeraj Sharma: Yes, thank you. Thank you, everyone, for patiently listening to us. And thank you for the interest and all the questions which were asked. I am always wary of the fact we are not able to answer all questions, but we would be happy if you reach out to our IR team if there are any more questions.

Otherwise, my team and I, we are very focused on all the promises which we have done in terms of capacity addition. We are all very excited and looking forward to our next phase of growth.
Thank you very much.
Moderator: Thank you. Ladies and gentlemen, on behalf of OneSource Specialty Pharma Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jan 2026

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Date: January 30, 2026

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai- 400001
Scrip Code: 544292
National Stock Exchange of India Ltd
Exchange Plaza, C-1, Block G,
Bandra Kurla Complex, Bandra (E),
Mumbai – 400 051
Symbol: ONESOURCE

Dear Sir/Madam,

Subject: Transcript of Earnings Call pertaining to Unaudited Financial Results of the Company for the quarter ended December 31, 2025

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of earnings call for the quarter ended December 31, 2025. This earnings call was conducted on January 24, 2026, i.e., after the meeting of Board of Directors held on January 23, 2026, and is being shared for your information and records.

Request you to kindly take the above on record.

For OneSource Specialty Pharma Limited

Trisha A
Company Secretary and Compliance Officer
Membership Number: A47635

"OneSource Specialty Pharma Limited
Q3 FY '26 Earnings Conference Call"
January 24, 2026

MANAGEMENT : MR. ARUN KUMAR – FOUNDER AND NON-EXECUTIVE
CHAIRPERSON – ONESOURCE SPECIALTY PHARMA
LIMITED
M R. NEERAJ SHARMA – CHIEF EXECUTIVE OFFICER
AND MANAGING DIRECTOR – ONESOURCE SPECIALTY
PHARMA LIMITED
M R. ANURAG BHAGANIA – CHIEF FINANCIAL OFFICER
– ONESOURCE SPECIALTY PHARMA LIMITED
M R. ABHISHEK SINGHAL – ONESOURCE SPECIALTY
PHARMA LIMITED

Moderator: Ladies and gentlemen, good morning and welcome to the OneSource Specialty Pharma Limited Q3 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Abhishek Singhal from OneSource Specialty Pharma Limited. Thank you and over to you, sir.
Abhishek Singhal: Thank you, moderator. Good morning, everyone, and thank you for joining us today for the Earnings Conference Call of OneSource Specialty Pharma Limited for Q3 financial year 2026.
We are pleased to have with us Arun, Founder and Non-Executive Chairperson, Neeraj, CEO and MD and Anurag, CFO of the company, who will walk you through the key business and financial highlights of the quarter.
I trust you have had the opportunity to review our results release and the quarterly investor presentation, both of which are available on our website as well as our stock exchange website.
The transcript for this call will be posted on the company's website within the next week.
Please note that today's discussion may contain forward-looking statements, which should be viewed in context of the risk inherent in our business. Should you have any further questions after this call, our investor relations team will be happy to assist you.
I now hand over the call to Arun for his opening remarks.
Arun Kumar: Thank you, Abhishek. Good morning, everybody, and thank you for joining this call on a Saturday morning, especially in a long weekend. We had a Board Meeting with several of our Directors on a virtual basis yesterday, so we could only announce the results late in the night, and therefore we appreciate your time today.
Before I hand over the call to Neeraj and Anurag to discuss further on our results, I would just like to set the context of today's discussions in terms of our numbers and how we see the business evolving.
Firstly, I would like everybody to draw your attention to my Q4 FY '25 commentary, where I had highlighted that FY '26 is a transitory year, where our primary focus will be to build readiness in our operating capacity, executing our MSAs, and preparing for scale.
All of these key milestones have been achieved, and we continue to invest on this singular focus.
Our Q3 FY '26 results have been impacted by revenues being deferred. As all of you know, our DDCs have a major fill-up to our numbers and our FY '28 outlooks.
Having said that, the only large market that was available to operate at scale was Canada, between January and the end of March, when other markets opened. Consequent to several of

our partners having not received the Canadian approval for semaglutide, we have had a scenario where we have deferred – we had to defer our revenues until that event happens.
Now, while I get into more details of the Canadian regulatory approval and our view on that, I would like to reiterate our FY '28 guidance. At the time of our listing in January 2025, the singular guidance that we have provided to investors is a number of $400 million, with an EBITDA of $160 million for FY '28.
This obviously does not include any of the inorganic accretions that we have announced later.
We remain extremely confident on our ability to achieve these targets, and I will explain why we believe so. So, let's get into the elephant in the room, which is, of course, the Canadian regulatory approvals.

We have several partners for the Canadian business, and of course, some of you are aware of the public statements that one of our key partn

ers have made about their partnership with us, and
this obviously refers to one of our anchor partners, which is Dr. Reddy's. They were expecting an approval for this product at market opening, which was in January.
This has since been deferred, as they had received certain requests for additional information from the regulatory agency. We believe, and based on their guidance, that their approvals are estimated anytime between now and May, and we also believe that other filers from our facility for the Canadian market will be in that range a little later.
Consequently, we believe it may not be prudent to build a near-term guidance on these assumptions, and we'd rather wait for these events to unfold before we can give better clarity on how the DDC businesses for the Canadian market operates.
Having said that, many of our partners have received approvals for the Indian market, and towards the last week of March, those opportunities open up, and while India is a market that we can immediately commercialize, obviously we believe that the competitive intensity for the Indian market is severe, and it is not a market of focus for us.
Having said that, you will find our products at market opening in the Indian market through our partners. Now, several of the other markets that are opening up in the emerging markets, outside of Canada, the only other markets are the emerging markets, where over between 80 to 100 countries open up around the end of March.
Many of these countries, the regulatory process is dependent on what we are able to provide as a document called COPP, which is an Indian Government Certificate of Pharmaceutical product, which is only available after a product is launched in India.
So we expect to have these certifications in the first few days of April, after which we expect a flurry of approvals for several of our partners in emerging markets, and there are very significant emerging markets that will add up to the volumes.

I will now come to the capacity prioritization. So we could have continued to accept MSAs from new customers, but we decided to prioritize our capacities for commercial sales, considering that we have contractual obligations, but also we obviously make more economics when we move from MSAs to commercials.
Accordingly, till we have all these approvals in place, we expect the next two quarters to remain relatively soft. Having said that, our aggressive capex of over INR700 crores to increase capacities are progressing very well, and we believe that by H2 FY '27, we will have significant additional capacities that will come up for increased demand as we see.
As we see, most of our customers have started increasing their forecasts, and we strongly are now very confident that we'll be able to meet an increased outlook. Another factor that we are confronting and working with our partners is the current batch size and the scale-up.
The current batch size, because of the high cost of development of most of our partners, are suboptimal and in many cases not very commercially viable when you want to run very large production runs.
So we are working very actively with our partners to scale up capacities, but these involve scale-up batch sizes to meet our increased capacity so that we can be more efficient and cost-competitive for our partners to be more competitive in their market space. And we are working with several of our partners, and we are in the process of concluding those activities and getting regulatory approvals in several markets such that we can increase our scale.
In hindsight, these approval-related uncertainties have played out as we have anticipated, reinforcing our decision not to provide an FY '26 or FY '27 guidance and pivoting our guidance to FY '28, which we now continue to reiterate. The negative operating leverage that we expect now in H2 of FY '26 a

nd partially in H1 of FY '27 reflects the absence of new MSAs due to
strategic priorities and the fact that commercial supplies have not yet commenced.
Notwithstanding these near-term factors, our confidence in the DDC opportunity remains high. Customer forecasts continue to be revised upwards. There is not one customer who has not revised forecasts upwards.
FY '27 will mark the beginning of material CSA revenues with H2 significantly stronger than H1. We expect a Q4 FY '27-analyzed exit run rate for both revenues and EBITDA to be a good reflection of near-close FY '28 guidance numbers.
Now, you will appreciate that many of these actions are dependent on our partners, and while our partnership philosophy is strong, we are working strongly with these partners to work to get

the maximum outcome for both them and for us, and all of this makes business sense for us to reprioritize.

Another operational highlight before I pass on the conversations to Neeraj and Anurag is an update regarding our sterile facility in Bangalore. You will appreciate that this facility is approximately 20 years old since it has got several FDA inspections, including a stellar recent

inspection. However, we are converting a large part of the capacities to include increased demand in specialty injectables like long-acting injectables, high-viscosity pre-filled syringes.

And we are taking a four-month shutdown where we will significantly increase our capacities in lyophilization pre-filled syringes, high-viscosity pre-filled syringes, and also other capabilities, and consequently, this will have a near-term impact. This is not going to be a material near-term impact, but I thought it was important to use this occasion to also bring this up to your notice.

The last point that I wanted to discuss in today's call was a business decision that we have taken as a company. We now have a little over 30 new customers that we have added in the last few years since the formation of Stelis and then eventually OneSource. We currently hold approximately INR250 crores as advances from customers who pre-book our capacities.

It is, in normal circumstances, very easy for us to enforce our take-or-pay contracts, but considering that some of our partners have got delayed approvals, considering that our partners have increasing batch sizes, increasing their contract tenure with us, in many cases, we are now working with our partners to be proactive and find solutions where both partner and us benefit.

And consequently, in some cases, we have either deferred our take-or-pay contracts while we continue to receive significant advances from our customers, and this is very important for us as we have managed in most cases to extend the contractual obligations of our partners. And where we haven't, we obviously are now evoking the take-or-pay contractual obligations.

So with this, I'll let Neeraj to discuss the rest of the call. And then I will, of course, be available if you have any specific questions to my opening comments. Thank you.

Neeraj Sharma: Thank you, Arun, and welcome, good morning, and welcome everyone to our Q3 results. As Arun mentioned, this quarter's performance has broadly been shaped by the semaglutide approval delays for our customers in Canada.

And as the transition from MSAs to CSAs has been pushed out, and as a deliberate choice, we did not take new DDC MSAs purely strategically, as a result, the Q3 revenue declined by almost US$10 million versus the previous quarter. And considering the nature of our business, you know, the revenue shortfall resulted in a very unfavorable operating leverage, and thus the EBITDA declined by more or less the same amount.

Now, while the revenue trajectory got impacted during the quarter, what is really heartening for us, and it should be also for our investors, is that the underlying demand of our business

remains

absolutely robust. Our order books continue to expand, and this is for customers in Canada, India, rest of the world markets, which are all opening up for semaglutide in this quarter. And both ourselves and our customers, we continue to believe that our customers will certainly be among the first movers across all these markets, notwithstanding the delays, and this includes the Canadian market.

And once the approvals are received over the next couple of quarters and the commercial supply start, we are absolutely confident that the incremental revenue which is coming will flow

meaningfully through to the bottom line. And this is that our capacity expansion plans remain absolutely on track. And as of last month, we have already committed almost three quarters of our total planned 100 million capex investment spend which we have set for our flagship site.

And obviously, we also continue to man and to run these lines. We are expanding our workforce.

And in our flagship site, in year-to-date, we have doubled our workforce by adding almost 300 new FTEs. So, overall, we obviously remain very positive about the GLP-1 opportunity. And while we expect the approvals to be staggered over the next couple of quarters, there will be a very, very significant commercial uplift starting in FY '27.

But also going beyond drug device combinations, we have also made notable progress across all other service offerings. In fact, we are most excited about our nascent biologics business, which has benefited from some very strong tailwinds, both from the new FDA guidelines on biosimilars, as well as the passage of the Biosecure Act in the U.S. And as a result, our RFPs today are almost 4x of what they were at the end of last year. And our funnel is at absolute historic high.

Also happy to share that during the quarter, we onboarded yet another global biosimilar customer. This is a U.S.-based biosimilar major. And at the same time, active discussions ongoing with multiple European players. Our customer engagement seems high. The teams are out in the market meeting customers. And also, there have been a significant increase in the customer visits to our sites in this year.

Beyond biologics also, we continue to add customers even during the quarter in our injectables and soft gelatine business. The whole founding philosophy of OneSource, which was the integrated one solution offering and cross-selling, is resonating very well with the customers. In fact, in our soft gelatine business, we have in the last quarter secured approval for our first oncology asset. This is a new, you know, we never had oncology product. Now, we got approval for oncology asset, and this is an NDA.

And happy to also tell you that it has been partnered with one of the top 10 U.S. generic companies, which really adds to our specialty offering. And also, in our injectable business, we continue to -- our customers continue to gain share for both, for existing products as well as adding new projects into the pipeline.

Along with the business, when it comes to operations, also our execution remains robust. And I am extremely proud of the fact that our quality record and the compliance record remains stellar. Year-to-date, we have had 36 inspections, both from regulators as well as our customers. In fact, also delighted to say that yesterday at our flagship DDC site, we have a very, very good inspection. So we will keep you informed on how this continues to advance.

Also, as a very responsible global CDMO, we continue to advance our sustainability agenda, earning actually an EcoVadis Bronze Medal this year and a very meaningful increase across all the categories which were there.

To conclude, what I would say that despite the near-term timing effect and the approval hiccups, our

customer orders continue to strengthen, our capacity build-out remains on track, and our commercial readiness is very high, which is really helping us to reiterate our FY '28 guidance, which we have given of becoming 400 million revenue company organically.

And we are absolutely confident of achieving this through execution across all our service offerings. So, as we continue to build OneSource, I really want to thank our teams for their dedication and our customers for their collaboration. Thank you very much.

I will hand over to Anurag, who will share with you details on the financial performance.

Anurag Bhagania: Thank you. Thank you, Neeraj. And a very warm welcome to everyone joining us on this Saturday morning.

I will now present to you key financial highlights for the third quarter of FY '26. As Neeraj already mentioned, and Arun also spoke about it, our quarter performance has been largely impacted because of the delays on customer approvals in Canada. As a result, the reported revenue is about INR2,903 million, which is a 26% year-on-year decline.

The shortfall in revenue combined by our fixed cost base resulted in an EBITDA of INR173 million. Adjusted PAT stands at a loss of INR472 million, and adjusted EPS on a diluted basis is a negative 4.1 per share. As you all know, during the quarter, there has been a regulatory change related to the Code of Wages.

And as is prudent and appropriate, we have fully provided for the impact of this change as an exceptional item in our financials. Our PAT and EPS exclude exceptional items which are related to scheme intangibles. I would also like to highlight that the balance sheet includes goodwill arising from the scheme of arrangement that we had last year, which reflects the strategic value in that transaction.

The goodwill is a non-cash item and has no bearing on our operating performance and cash flow.

On the working capital trends, it reflects a planned inventory build-up for significant launches that are upcoming on the semaglutide launches.

These are all temporary and timing-related, and we expect it to normalize over the course of time, gradually over FY '27. These inventory build-ups are customer-backed, either with advances or firm purchase orders, and largely expected to normalize during the course of time.

On the treasury side, we have got some very exciting developments during the course of the year. We have had two notches' upgrades, two rating upgrades, leading up to four notch upgrades on our credit rating. All of that is now starting to show up on the decrease in interest cost, and we are very happy to announce that we are now 200 bps lower versus last year, less

than 9% effective interest rate.
We have made significant arrangements to ensure that our capex plans are fully funded. We have tied up with strong relationships across global, international-leading bankers, including very

significant partnerships with local Indian bankers. We see that for a short-term, the capex funding led increase on the net debt.
However, we are very confident of the near-term guidance of less than 1.5x of EBITDA as our net borrowing. We remain confident about the fundamentals of our business and very strongly building the future of our business, remaining committed to the shareholder value that we want to create.
I thank you all once again and look forward to your continued partnership.
Abhishek Singhal: We're good to open for Q&A.
Moderator: Thank you very much. The first question is from the line of Abdulkader Puranwala from ICICI Securities. Please go ahead.
Abdulkader Puranwala: Yes. Hi, good morning team and thanks for the detailed explanation and offer for the business.
My first question is with regards to this plant shutdown. First, was there any impact on this quarter as well? Is it the same DDC plant where you're planning to expand your ca

pacities for injectables?
Neeraj Sharma: Abdul, hi. This is Neeraj here. This is not the flagship DDC site. The expansion plan there goes absolutely on track. The plant Arun was referring to was the general injectable site, which is in Bangalore. And that's a site which is one of the oldest sites in the group where we supply general injectables. And that's the site where we are adding capacities in lyophilization. We are adding some new capabilities.
And that's the site where we would need to take a shutdown. Our flagship site, obviously, there is absolutely no shutdown there in the flagship DDC site. The expansion which I mentioned, we continue to -- in fact, we already committed almost $75 million in that expansion.
Abdulkader Puranwala: Got it, sir. And second is on the quarterly numbers. Just trying to understand the quarter performance, so the INR290 crores of revenue posted in Q3. Is it a fair reflection of your soft gel and injectable business?
Neeraj Sharma: Yes. The gap, as we said, the decline or the shortfall, let’s say, for -- in the revenue is primarily from the DDC business. And that’s what -- because as we know that, the DDC business has a very, very significant margin -- EBITDA margin. The delta there flows down to the bottom line.
That's what is coming to the bottom line. To answer your question, yes, it is a fair reflection.
Abdulkader Puranwala: Okay. And last one on my end. So, I mean, when we talk about the working capital being higher because of the inventory pileup of semaglutide, what is the color we have from our customers?
Because we are sitting on some advances as well as on the inventory. So, you know, if you could highlight what happens if the launch gets delayed beyond whatever timeline we are currently thinking about?
Neeraj Sharma: Abdul, as we are a CDMO, as you imagine, whatever inventory comes to us from our customers, it belongs to the customers. Obviously, we have all the procurement has been done in

conjunction, in agreement with the customers, and the delays are actually on their side. As a CDMO, all inventory risk, if that's your question, actually belongs to the customers.
Abdulkader Puranwala: Understood, sir. I have more questions, but I will get back in the queue. Thank you.
Neeraj Sharma: Thank you, Abdul.
Moderator: Thank you. We have the next question from the line of Rupesh Tatiya from Long Equity Partners. Please go ahead.
Rupesh Tatiya: Yes. Hello, sir. Thank you. Thank you for the opportunity. My first question, sir, is to understand the peak capacity utilization. So, I think in the last call, you said that, let's say, on the 40 million base DDC capacity, peak production can only be 20 million to 25 million devices. So that seems a little low to me. So any technical explanation you can give for this?
And then maybe you can also tie this with the batch size increases that we are looking at. I mean, batch sizes, I always thought was an API. It was used in API parlance, but pardon my ignorance.
So how -- what are we trying to do there also with this increase in batch sizes? What will happen to the capacity and the capacity utilization?

Neeraj Sharma: Rupesh, how I can explain to you is in the following way. Yes, you're right that the 40 million cartridge, that's the headline capacity. So one way to look at it is the headline capacity of the line.
The second way to look at it also is the number of days which are available in a site to produce that, right? So, how it works in any manufacturing, especially in sterile injectable manufacturing, we always work on number of days. And when -- it's also that the days taken between MSAs and CSAs are different.
When we run commercial campaigns, we can do, for example, as many as six batches in 7 days. However, when we end up doing MSAs, we end up doing only two batches in seven days. So purely from number of cartr

idges, it would be you can imagine less than a third of the commercial. So we don't always look at the number of cartridges coming out while it is in the MSA phase.
As I said earlier in my call, because the MSA to CSA progression has been prolonged, that's why it's not the right time to see actual number of output. It is number of days which get utilized. That's number one. And to your second point on the batch size increase, how it again works, batch size is not just of the API. Batch size is also of the finished product.
That's how for you to understand that in one day, we make one batch. So if we make a batch of, let's say, 200 liter and a certain quantity comes out per day, in the same day if we are able to increase the batch size to 500 liter, the output becomes two and a half times that within the same time taken. You can imagine the actual output from the site goes up by that scale and that is the point which Arun mentioned, that requires regulatory approval and in conjunction with our customers, we are working towards that.

Rupesh Tatiya: Okay. Just one follow-up, sir. When we go, let's say, 100% CSA at some point in H2 FY27, on this 40 million capacity the peak production can be 70%, 80%. That's a fair assumption?
Neeraj Sharma: So, yes. So that in a sterile injectable, that's what typically works 70%, 75% capacity utilization is what we work with.
Rupesh Tatiya: Okay. My second question, sir, is, let's say, whatever these 20 million, 25 million devices we sell, whenever we sell, first 25 million, let's say, what would be the rough split between different geographies based on your vantage point? I know your customers obviously will have more information, but based on whatever you have seen in the market, looked at the market between, let's say, Canada, India, Brazil, Turkey, Saudi Arabia, ROW, any rough split you can give just to understand which markets have high volumes?
Neeraj Sharma: Yes. I mean, Rupesh, that data is the same which is available to us is available to you. The fact is that Canada is by far the largest, obviously, the second largest semaglutide market in the world after US. So that will remain the biggest consumer, but at the same time as the approval come in, as the product becomes available, the market will expand in all the major markets, whether it's Brazil, Turkey, Saudi Arabia, India, so on.
So all these will ramp up, but I would only say that as a CDMO, we will go by our customers location to us. And for us, as I mentioned previously also, we are agnostic, whether in terms of pricing or anything else. For us, geography doesn't matter. We supply the product at our factory gate.
Rupesh Tatiya: So just this last comment, we are geography agnostic. But now, I think in the opening comment also Arun said that India will become severely competitive. And also regulatory barriers are different across the different markets. I mean, Middle East, India will be a little bit lower. Canada will be higher. Brazil is probably also higher. So do you not see fill-finish pricing diverging between the countries based on the regulatory barriers?
Neeraj Sharma: Sorry, I didn't get your last point. So again, I think the pricing is for our customers to work at, Rupesh. But again, I have always maintained. A we have the right capacity, B we have the right capabilities to support our customers both in terms of their demand and for them to remain competitive. And that's the reason which Arun mentioned and I just explained for us to expand batch sizes, it helps both additional capacities and remaining competitive throughout.
Moderator: Thank you. We have the next question from the line of Nitin Agarwal from Dam Capital. Please go ahead.
Nitin Agarwal: Hi, thanks for taking my question. You know, just sort of referring back to the earlier comment in the opening comments around the fact that we'r

e renegotiating some of our take or pay agreements. I mean, so directionally, what are the [inaudible] to the business in terms of, obviously, when we are letting, what is it that business gaining from a more structured perspective when we're looking at some of these contracts? Just help us understand that a bit better?

Neeraj Sharma: Yes. So Nitin, I think Arun mentioned that the customers who we have and we are fortunate to have -- the who's who of the generic industry. Some of these names are in public domain. What we gain from being acting like partners and not like mercenary CDMOs is to really gain a long term partnership with the customers to ensure because we know that the changes which are there are not because of any inherent gap either in their demand forecast or in their willingness to buy. It is purely based on regulatory delays. And that's the reason we are being flexible with some of our key customers, gain their trust, gain their long term relationship. But having said that, that's not with all. There are customers with whom we are invoking these clauses strongly and will continue to do as we progress.
Nitin Agarwal: And in these large customers, where are you the flexibility sort of working again? What does it do to the business? Does it mean that you've got more visibility of volumes now, F28 and beyond or what are the changes?
Neeraj Sharma: Yes. So we definitely have visibility from customers, in fact, long term, in fact, beyond three years as well. So that we, in fact the whole idea of this is getting into a much longer term, much longer term relationship with them. And that's exactly how, that's exactly how it's a double street we work both ways. We give them flexibility and we get a much longer term view from them. And in fact, that has been one of the key supporters where we have decided to invest 100 million in capex. This is all based upon some very strong visibility from the customers.
Nitin Agarwal: And just following up on the business as we -- the newer capacity that you're talking about, what are timelines when these capacities incrementally will start to become available for us?
Neeraj Sharma: They are as we have said we are in by end of the financial year FY27, we would be having, almost, let's say, installed almost 200 odd million. I mean, these new capacities will be available. And as we go along in this year, you know, at regular intervals, the capacity enhancement will be happening.
Nitin Agarwal: And what kind of regulatory timeline do you have for post when these facilities are available for them to be commercially available for you to supply to customers?
Neeraj Sharma: Yes. So we have done that work and for most customers, most markets there will not be any new regulatory impact because many of the markets these are annual reportable kind of changes. So, there is not likely to be additional regulatory timelines involved here.
Nitin Agarwal: And secondly, just the last one on this, on the guidance that you put out you've talked about a debt to EBITDA peak guidance of less than one and a half times for FY28. So, just two questions here. One is, what is our expect in the near term what is our peak debt that we're expecting given the delays in revenue recognition? And two, I think we had earlier talked about being net debt, net cash positive over the forecast period. So, what sort of changes this outlook here from a guidance perspective?
Arun Kumar: Nitin, let me try and answer that. So while on the base business, on a steady state, we expect to be debt free by 28. But given our visibility on the biologics, especially on the microbial, we will

need to put more capex. So, 1.5 is more a guided number. On the base, 500 million, 200 million EBITDA, we don't expect to have debt on a regular basis.

But we're just keeping that guidance of 1.5 as more an internal measure as we believe that there could be more investments in terms of beachheads in the US and Europe. And also an increased capacity build out in our microbials. So it's more a guidance, guided number. But on the base business steady state there should be no debt.
Nitin Agarwal: And if I can stick, I don't know that on the biologics CDMO, there's been a lot of positive commentary in the deck around the progress we've made in biologics CDMO. I mean, if you can help us understand a bit better exactly what is changing and how should we see the, probably a qualitative sense of the trajectory for this business?
Neeraj Sharma: Yes. So Nitin, what really is happening number of positive things which are happening both at a macro level and obviously which are flowing through at the company level. So you may have followed and everybody has -- there's a lot of noise around the final approval of the Biosecure Act, right?

Which came in but it doesn't matter what the shape or form of the Biosecure Act, what it really does is to actually accelerate the entire diversification, the geographical diversification plan for companies. And that is resulting in a lot of bio-techs, big pharma American, Japanese, European looking at India, especially OneSource as a positive -- as a probable site for drug substance.

And something which is more immediate and near-term has been the change in the FDA guidelines on the biosimilar approval timelines which is -- what has happened there is that there's a -- thanks to the change in the guidelines, most biosimilars do not require now or will not require a clinical trial of Phase III.

And the two things as a result the cost of developing a biosimilar has come down from 100, 120 million to 30, 40 million. And the timeline of -- from start to finish to -- in the market coming down from almost eight, nine years to half of that. So all these really are in favor of CDMOs especially the CDMOs with capacity as Arun mentioned, microbial.

Microbial capacity which we are fairly unique in that and ability to offer a very competitive solution to our customers. So that is really as these things are really helped increase the funnel of biosimilars which we have.

Moderator: We have the next question from the line of Madhav from Fidelity.

Madhav: I wanted to understand if the India supplies for example for us starts a little bit earlier than Canada, for example. Is there like a big difference in pricing that we have across different markets? Like if we supply to a customer in Canada versus maybe the same customer in India does the pricing vary from a OneSource perspective?

Neeraj Sharma: So Madhav as I said thank you for your question. But as I said earlier for us the market is completely immaterial. Our pricing with our customers is fixed. And it is based upon volumes

and not volume tiers and not on end market. So whether they sell it in Canada or they sell it in India, or in Brazil or in Saudi Arabia, our pricing to our customers is the same.

Madhav: And just one more, if you could share any update on how do you see the supply landscape for generic semaglutide evolving? I know the question is asked to you very regularly. But now that we are very close to generic launches globally. How do you see the supply landscape evolving? What kind of market share we could have? I know that don't need a point estimate. But just very broad thoughts are also helpful just to understand how that shapes up in the next one or two years. Thank you?

Neeraj Sharma: Madhav, again I would -- if I answered it at a macro level, we are only seeing the demand continue to be -- actually to expand. And this is true across markets as, as the supply that you've seen, whatever supply improvements have come from Novo have all been taken up and volumes have been boosting

across markets in a secular way. That is as far as the overall market is concerned.

When it comes to supply position obviously what we have to be very, very clear is the regulatory position it will first is going to be defined by regulatory position. As I mentioned despite the delays, our customers expect to be in the first wave of approvals. And we and our customers continue to believe that they will be very limited number of players getting approved in a market like market like Canada.

So for the supply obviously the first movers will continue to get will definitely get a significant share of the opportunity. And overall supply chain I also want to add that the supply chain overall continue to remain constrained, whether it is in API's or in cartridges or in devices. And obviously also in the fill finish capacity. So it will be a factor of increasing supply as the markets open up. And that's what -- that's how we see it happening.

Madhav: Appreciate that point. My only question was that let's say two years later like really obviously the customer which you'll speak about. And then there could be other customers as well. With these customers do we expect to have a lion's share of their wallets? As they ramp up their volumes globally? Or this could be split across two, three, four CDMO vendors? Like how do you see that sort of evolving in a couple of years' time?

Neeraj Sharma: This is -- these drug device…

Arun Kumar: So Madhav, let me just answer this. So one is -- one of the reasons why we keep extending or engaging with our partners for extended period in contract period is when we renegotiate some of or kind of soften our hard stands on take or pay is when we know our customer is at market formation, will take a significant market share. And that enables us to extend the period of the contract.

To answer your point, it's normal that competition generics would come. And then customers would lose market share. So we have to A, position for competitive pricing, which is what we do in terms of batch size increases and stuff like that. Devices -- change of devices, the whole nine yards we do in terms of a CDMO typically to make the partner more competitive.

And that allows us to sign up longer term contracts because bulk of the work is suggested and done by us in partnership with our customer. So at market formation it's typical that customers lock in generic companies and buyers universe for a longer period of time. And they typically in the more sophisticated markets like Canada and others will have the first sight of refusal to match pricing.
So it's important for us to align with near term significant upsides to long term consistent CDMO contracts. And that is why we are tweaking and remodeling a little bit of our operating model with our customers.
Moderator: We have the next question from the line of Abhishek Kumar Jain from Alpha Accurate.
Abhishek Kumar Jain: Sir, my first question on that Oral GLP-1. So how do you see adoption of the Oral GLP-1 by innovators or generics as a trade to the utilization rate of this new injectable capacity?
Neeraj Sharma: So Abhishek obviously this is Oral, especially for obesity has recently been launched. I think we have maintained earlier that Oral will definitely have a place in the entire anti-obesity and diabetes regime. They will certainly have a role to play especially for the patients who have needle phobia or who cannot take needle. But having said that thanks to the difference in the efficacy levels.
And because of the frequency of dosing, daily tablet versus a weekly injection. It is widely expected both by all major analysts as well as in fact the companies themselves, Lilly and Novo, have been very clear in saying that Oral will get a share but no more than a quarter to max a third of the total anti-obesity market. That's at the innovator level.

You also mentioned generic. There is, no generic pill going to be available at least for the next eight, nine years because there is, these are recent coming in. It's going to be a significant patent protection for a very long time.
Moderator: Thank you. We have the next question from the line of Sucrit D Patil from Eyesight Fintrade Private Limited. Please go ahead.
Sucrit D Patil: Good morning to the team. I have two questions. My first question to Mr. Sharma is as OneSource expands its specialty formulations and CRAMS business. How do you see the product mix and capacity utilization evolving over the next two to three quarters?
In particularly, how will backward integration automation in manufacturing and regulatory compliance process be applied to improve efficiency, reduce cycle time, and strengthen the competitiveness in the global market? That's my first question. I'll ask my second question after that. Thank you.
Neeraj Sharma: Yes. So, I think we already mentioned that we continue to expand and invest in new capex. And as the commercial approvals come and the volumes ramp up, our supply for drug device combinations will increase and the capacity utilization will move in line with that. We'll keep updating you as and when the new capacities come online.

To your question on how we are working on increased productivity, etcetera, you know, I think we are very proud of the fact that we have a legacy and a DNA in sterile injectables going back almost 2.5 decades. And in that area, we are really being pioneers in many, many ways, whether it comes to, how to develop sterile injectables, how to manufacture.
And we have a team which we are proud of, both in development as well as manufacturing and quality with a very stellar compliance track record. And we will continue to build on that for our customers.
Sucrit D Patil: Thank you. My second question to Mr. Anurag is, with strong cash flows and ongoing expansion, how do you plan to sustain EBITDA margins while funding new investments? From a financial point of view, how will you manage working capital cycles, hedge forex exposure on export revenues, and apply digital cost control initiatives to ensure return on equity remains strong and the balance sheet keeps on strengthening over the period of time? Thank you.
Anurag Bhagania: It's a great thank you very much for that question. It's part of our inherent fabric that we have built over time, looking at each of those dimensions that you talk about, built around controls, built around process strengthening, and the use of digital interventions across the board in our financial processes. We are building a future business with very strong foundation, and all of that is part of our process.

Moderator: Thank you. We have the next question from the line of Mehul Panjwani from 40 Cents. Please go ahead.
Mehul Panjwani: Good morning, everybody. Thank you so much for the opportunity. My first question is about the comment about the two soft quarters. So, can we expect complete normalcy to return to the revenue recognition after two quarters? That is my first question.
Neeraj Sharma: Yes. So, we have, as Arun mentioned in the that, you know, once we have visibility on the approvals, you know, coming in into the major markets and we start supplying, we are absolutely going to be having sequential improvement in quarter-after-quarter. So, that's exactly the plan as you highlight.
Mehul Panjwani: So, when would we know about the visibility on the approvals?
Neeraj Sharma: We continue. So, that's what we have If you have seen our customers, especially what is in public domain, Dr. Reddy very clearly said that they are expecting approval coming in any time between February and May, and that's what the confidence level of our customer is on what we are also working towards.
Moderator: Thank you. The last questio

n is from the line of Abdulkader Puranwala from ICICI Securities.
Please go ahead.
Abdulkader Puranwala: Yes. Hi. Thanks for the follow-up. So, just quickly on this new oncology contract what you had with one of the largest companies, could you help us understand what is the opportunity here and, when the supplies actually start?

Neeraj Sharma: Yes. So, this is, a product which is, as I mentioned, which has been approved through the NDA route. It's a branded product. It's a fairly unique opportunity. There is just one more company offering that product in the market, and this is a product which we should be launching in the next quarter. I mean, it should be launched by our customer in the next one quarter.
Abdulkader Puranwala: Got it. And, just on sema approval, so I know that the timeline, would be set by the regulator, but just to understand, in terms of our supplies, so if I say, one of your customers gets an approval in, say, Q4 or Q1, then by when should that exactly, reflect into our numbers? That is when the supply should begin for us.
Neeraj Sharma: Yes. So, Abdul, we will, as soon as the approvals come, because there are some aspects which will have to be put on the individual pen post-approval. So, it would be, fairly soon after the approvals come that the supplies will start.
Of course, the volume ramp-up, will take its time, but the supplies will start in very short order after the approvals come. So, whether it is in, whether it is in Canada or any other market, very, soon after the approvals, the customer should start putting the product in the market.
Abdulkader Puranwala: Okay. Okay. And a final one from my end. So, we had previously, announced the acquisition of the two injectable facilities. So, where are we in the transaction right now?
Anurag Bhagania: Yes. Hi. This is Anurag. The process is working very well. It has moved forward. When we, spoke last, it was an application submitted to the Stock Exchange. There is a discussion between the Stock Exchange and SEBI. You know, process is working very well. We anticipate, us to be able to get the final all regulatory approvals in place by third quarter of FY27.
Moderator: Thank you very much. Ladies and gentlemen, in the interest of time, that was the last question for today. I now hand the conference over to the management for the closing comments.
Neeraj Sharma: Yes. Thank you very much, everyone, for coming in on a Saturday morning and listening to us. We wish you a very pleasant, long weekend. Thank you.
Moderator: Thank you very much. On behalf of OneSource Specialty Pharma Limited, that concludes this conference. Thank you for joining with us today, and you may now disconnect your lines.

Call: May 2026

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Date: May 19, 2026

Dear Sir/Madam,

Subject: Transcript of Earnings Call pertaining to Audited Financial Results of the Company for the quarter and financial year ended March 31, 2026

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of earnings call for the quarter and financial year ended March 31, 2026. This earnings call was conducted on May 13, 2026, i.e., after the meeting of Board of Directors, and is being shared for your information and records.

Request you to kindly take the above on record.

For OneSource Specialty Pharma Limited

Trisha A
Company Secretary and Compliance Officer
Membership Number: A47635

BSE Limited
Phiroze Jeejeebhoy Towers
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Mumbai- 400001
Scrip Code: 544292 National Stock Exchange of India Ltd Exchange
Plaza, C-1, Block G,
Bandra Kurla Complex,
Bandra (E) Mumbai – 400051
Symbol: ONESOURCE

"OneSource Specialty Pharma Limited
Q4 FY '26 Earnings Conference Call"
May 13, 2026

MANAGEMENT : MR. ARUN KUMAR – FOUNDER AND NON-EXECUTIVE CHAIRPERSON – ONESOURCE SPECIALTY PHARMA LIMITED
M R. NEERAJ SHARMA – CHIEF EXECUTIVE OFFICER AND MANAGING DIRECTOR – ONESOURCE SPECIALTY PHARMA LIMITED
M R. ANURAG BHAGANIA – CHIEF FINANCIAL OFFICER – ONESOURCE SPECIALTY PHARMA LIMITED
M R. ABHISHEK SINGHAL – ONESOURCE SPECIALTY

Moderator: Ladies and gentlemen, good day, and welcome to OneSource Specialty Pharma Limited Q4 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Abhishek Singhal. Thank you, and over to you, sir.
Abhishek Singhal: Thank you, Neerav. And thank you all for joining us today for the earnings conference call of OneSource Specialty Pharma Limited for the fourth quarter and financial year 2026. We are pleased to have with us Arun, Founder and Non-Executive Chairperson; Neeraj, CEO and MD; and Anurag, CFO of the company, who will walk you through the key business and financial highlights of the quarter and full financial year.
I trust you've had the opportunity to review our results release and the investor presentation, both of which are available on our website as well as on our stock exchange website. The transcript for this call will be posted on the company's website within the next week. Please note that today's discussion may contain forward-looking statements, which should be viewed in context of the risk inherent in our business. Should you have any further questions after this call, our Investor Relations team will be happy to assist you.
I now hand over the call to Arun for his opening remarks.
Arun Kumar: Thank you, Abhishek. Good afternoon, everybody. Thank you for joining us today. I'm happy to report OneSource's Q4 results with a strong comeback from our previous quarter. This is obviously because we've been able to start invoicing our drug device combinations.
Most importantly, we have since then received approvals for Canada, and one of our partners have got approvals both for Canada and for the US, which is a tentative approval, giving -- setting the background for a very strong compliance track record, capability, and getting ready for what we think would be an exciting couple of quarters going forward.
It's important to note that we had a few days post-patent expiry in the quarter, but having said that, we were able to start shipping some goods on the GLPs. And as guided earlier in our conversations, you would see an uptick on our quarterly performances going forward. And we're also using the opportunity today to reaffirm our long-term guidance of FY '28, which is a US$400 million of organic revenue with around 40% of EBITDA margins.
Important to note is also that our capacity expansions are going on track. Our second line is now at site and is going engineering and qualification trials, and we expect that capacity to be available to us in Q2, in time with increasing demands for the product from emerging markets.
At this time, we are servicing the Indian market through multiple labels and also the Canadian market where we have now commenced shipments to both partners. All of this will play through over time, and then we expect post the Indian approval, several emerging markets will grant

approvals to various partners in the other larger emerging markets. Consequently, we expect volume uptick to be serviced in line with our capacity expansion.
At this time, we are fully committed to our capacity, and we're very delighted with the progress the company has made, not only on the DDCs but across the modalities that we operate in.
And before I let Neeraj and Anurag take over the call, I just wanted to give you an update on the scheme that we had originally announced, where we had intended to bring the injectables business of Steriscience, which is a related party

transaction which the family owns along with
TPG, and the business of Brooks, where Steriscience owns 51% with a publicly listed company, Brooks, which makes carbapenems.
We -- you would have probably read our releases where we said that on 26th of February, the stock exchanges and the SEBI had approved our scheme, validating the process and the Board's independent committee decision.
Having said that, we've had several conversations with investors. Most of our large-ticket investors and shareholders are fully committed to this transaction, and we would have got this across the board without difficulty. But having said that, we had a long tail of smaller investors who believed that there would be concerns on the valuation.

Having said that, and also because the pricing of both -- I mean, the pricing of the listed company significantly dropped from the intended valuation price of approximately INR2,200 -- a share, we decided that it's best that we defer this transaction until such time both OneSource delivers on its US$400 million 160 and the incoming assets deliver on its US$40 million of EBITDA.

And then we'll continue to look at opportunities independently to see how we can progress the business beyond the US$400 million and the US$160 million guidance. And I think in all, it's in the best interest that as a group, we are very focused on governance and we're also focused on taking all our shareholders together. We haven't had any significant RPT transactions which hasn't gone through with at least a 95% and above shareholders voting in favor of a scheme. We didn't get that same comfort this time, although we would have got through majority without difficulties, and we decided to pause this for some more time and come back and discuss this further.

Having said that, both units will pursue its growth, and we will re-look at these opportunities probably in about two years from now, if at all there is a need and the strategic intent is still valid at that time. So, for now, this is on the back burner, and OneSource is very focused on building out its business to its US$400 million target which was guided for FY '28.

With that, I'll let Neeraj and Anurag take over the call, and I'll be happy to address any questions which are specific to the opening comments I made. Thank you.

Abhishek Singhal: We'll have Neeraj doing his comment.

Neeraj Sharma: Yes, thank you. Thank you, Arun, and a very warm welcome to everyone joining us today for our quarter four and the full year results. As Arun already mentioned, the Q4 has really marked a strong recovery in line with what we had anticipated, in line with what we had mentioned, with the revenues at almost US$48 million, up almost 47% from the previous quarter.

EBITDA also recovered sharply versus the previous quarter which you saw. And this recovery, what really gladdens us is that this recovery was fairly broad-based. All our service offerings really supported this recovery, including the really much-anticipated generic Semaglutide India launches.

And Arun already mentioned that we were able to do -- get only -- this launch is only at the fag end of the quarter, so the impact was limited. But still, it's a precursor to a strong improvement going forward. And this sequential improvement which we have seen in this quarter, we are expecting it to continue and in fact strengthen as we ramp up our commercial launches across all markets.

Specifically, on Semaglutide, you know many of your questions would be around that, so specifically here, we have moved in this quarter from pipeline to real proof. And when India opened up, our partners were there on day one across multiple customer brands, which is what is really heartening. And today as we speak, our customer base total as on end of April holds almost two-thirds of the Indian market share by value of the generi

c market, as it is further
improving.

Also, the approvals which have come across other markets, they are the ones who are really reflecting this momentum. We are the first and the only CDMO partner for the first three generic Semaglutide approvals in all the highly regulated markets, US and Canada. As you saw in Canada specifically, I'll say with these back-to-back two approvals, both our partners are all set to bring generic Semaglutide to the Canadian patients. And also, with multiple other customers who are due to get approval across various emerging markets, we see a really strong visibility on the commercial ramp-up throughout FY '27.

And while the demand itself is very robust and we have a clear visibility on it, we are at the same time ramping up our capacities as you are well aware. And happy to share, Arun already alluded, happy to share that our capacity expansion remains very much on track. Our current line which is today running is fully committed back-to-back.

And as a part of the US$ 100 million capex which we are doing, the new line which has been installed already a couple of months back is currently undergoing qualification and will be due for availability for commercialization in the next quarter. So, which would really give us that additional boost and help.

At the same time, our nascent biologics business, which also I mentioned last time, it continues to generate a very significant customer interest. Our biologics funnel is at an historic high. In fact, in this year, we have expanded the funnel almost 4x versus previous year. And during the year, we saw a European biosimilar partner getting added, a US biosimilar major coming on board, and we also secured the second project from one of the top three global animal health companies. So basically, a really strong set of additions which reinforces the momentum we are building in biologics.

Apart from these DDC and biologics, I would also say our base business of injectables and soft gelatin, here also there is significant movement which happened during the year, whether in terms of the 10 new licenses we signed, licensing and CDMO deals, we launched 15-plus products, really added customers which together with our expanding capabilities in our SPD site, we will really be deepening meaningfully our specialty injectable offering.

Apart from the business, what also gives me a lot of matter of pride is our compliance track record, which remains absolutely stellar. We saw the year successfully completing 49 regulatory and customer audits, and these include who's who. In fact, we had surprise FDA inspection during the year at two of our sites, and we completed both successfully getting the EIRs.

We have renewed our EU GMP certification both at our flagship site as well as our sterile injectable site. We had ANVISA approval coming through the year, which gives us -- which puts us in pole position to supply to Brazil as our customers as they start getting approval. So how we have achieved this obviously is through a very meaningful investment in our people and in organization.

We have our flagship site where thanks to all the expansion project, we have added almost 400 people, which is where the bulk of our growth is going to be coming. We have also expanded and deepened the strength of our other organization, whether it is in front-end in the US or whether it is in operations and in quality, just so that we are very well positioned on our FY '27 and '28. Our commitment to our community as well as environment also was recognized by EcoVadis, who have awarded us the bronze medal for FY '25. And this is really with a very strong improvement across all categories. We have also been recognized as a leader by National Stock Exchange sustainability ratings. So basically, a very strong external recognition that this is an area where we are really

committed as a company and will continue. Finally, I really want to thank all our teams for their extraordinary commitment and all our customers for the trust they are continuing to place in us.

With all the momentum which has been driven by the recent approvals which I just spoke about, our continued progress in capacity build-out, and a solid base business, we are confident of a strong FY '27 and also reiterate our FY '28 guidance of US$ 400 million revenue and 40% EBITDA margin.

Thank you. I hand over to Anurag for his commentary to you.

Anurag Bhagania: Thank you Neeraj. A very warm welcome to all of you on this call today. I'm pleased to take you through our quarter four and full year financial results for FY '26. But talking about revenues first, in the fourth quarter, our revenues stood at INR4,282 million. It reflects a strong 47% sequential growth driven across all our service offerings, supported by India Semaglutide commercial launch towards the end of the quarter. On a full year basis, we reported INR14,216 million, which is a 2% decline year-on-year. It reflects the softer quarter that we had in the previous quarter due to delayed Semaglutide approvals in Canada.

On the profitability side, the Q4 EBITDA reported was INR919 million, which is more than 5x sequentially and the margin expanding by 1,550 basis points quarter-over-quarter, reflecting a strong operating leverage on our higher CSA revenues.

For the full year, the EBITDA declined about 35% due to delayed Semaglutide approvals which weighed in on our second half of the results. As you are aware, there is a significant regulatory change on the new Labour Code during this year. During the course of the year, we've already fully provided for this change as an exceptional item in our current year's financials.

Looking at our PAT and EPS, adjusted PAT for the quarter is about INR390 million compared to a loss in the previous quarter. So, this quarter, we reported loss to profit. For the full year FY '26, adjusted PAT stood at INR739 million. Accordingly, our EPS for the quarter is INR3.4 on a fully diluted basis and INR6.5 for the full year. I would like to highlight that our PAT and EPS metrics exclude exceptional items and amortization of scheme-related intangibles, which is a commentary that I've been making repeatedly.

Just want to reiterate that these are balance sheet items, goodwill arising from the scheme of arrangement that we had in the past, which reflects the significant strategic value in the

transaction. Goodwill is a non-cash item and does not have any bearing on the operational performance and liquidity of the company.
On the working capital, we've seen a year where we've seen certain increases. There are elevated levels, but all of that essentially to prepare for the long launches that are upcoming in the years, and we expect this to normalize during the course of the year in FY '27.
On the treasury side, as highlighted in our earlier calls, we've had four notch upgrades during the course of this year ever since we got listed last year. And these four notch upgrades are helping us repeatedly take our overall cost of borrowing down. We are trending below 9% today, which is 210 bps lower than what it was in the prior year. All our capacity expansions that Arun and Neeraj talked about are fully funded through incremental borrowings, both from domestic and international banking relationships that we have.
This marks the second annual results after getting listed. And while FY '26 has been a year we've been building with investments and managing the transition to commercial phases, we believe we've got a very good foundation in place and very excited about what lies ahead for us in FY '27 and '28. We expect to scale meaningfully, building towards the 50% plus ROCE expectation that we have for ourselves during the medium

term. We are committed to creating the long-term value for our shareholders and we truly value your partnership.
Thank you, and I will hand it back to Abhishek for the questions.
Abhishek Singhal: Neerav, we can open the Q&A now.
Moderator: Thank you very much. We will now begin with the question-and-answer session. First question is from the line of Rupesh Tatiya from Long Equity Partners. Please go ahead.

Rupesh Tatiya: Hello, sir. Thank you. Thank you for the opportunity and congratulations on Canada approvals for Semaglutide. I have two, three questions. Sir first question is, my understanding is that Brazil had 28% duty if local manufacturing requirements are not met. So how are we going to deal with it? How are we going to work around it?
And is it a hindrance for big growth in Brazil? That is question number one. And then question number two, sir, our US deal with Natco plus Mylan, I think it had profit-sharing arrangements as per the press release. Is it fair to assume that similar arrangements might be there with other customers in major regulated markets? So let's start with these two?
Neeraj Sharma: Hey, Rupesh. Thank you for your questions. On Brazil, I can just tell you that that is applicable only when there is local manufacturing available. As we speak right now, there is no manufacturing which is available in Brazil. And also having said that as a CDMO, all our terms with our customers are ex-works.
So really, any impact of whether it's a tariff or otherwise will actually be to the customers to really be taking over, if that clarifies. And to your second question around profit share is what we have shared in public domain is what we have shared. And that as CDMO, we neither do we talk about which customers we have or the terms which are with them. And I hope you'll appreciate confidentiality is the biggest part of our deal with our customers.
Rupesh Tatiya: Okay. And the other question, Neeraj ji in drug device combination business, we are I think the service provider. So there is we just provide the filling service. So with that context, I mean, can you please explain why our inventories have moved from INR158 crores in March '25 to INR440 crores in March '26? I mean, that number for non-Semaglutide business seems kind of large?
Anurag Bhagania: Rupesh, I want to clarify that while our inventories have gone up, as you would know we are service providers, you rightly said. But you should know that these inventories are part of our entire production process. So these purchases are fully funded by our customers and fungible.
So precisely that is the inventory that we are carrying. There is really no risk that we carry on our inventories that we are carrying.
Neeraj Sharma: It is paid for by the customers already, just for you to know, because our benefit to our customers, Rupesh, is the fact that we are able to combine, pool in the demand from various customers and able to get better terms for customers for all the inventory which is fungible among them.
Rupesh Tatiya: So Anurag, this inventory change then will not flow through P&L. Is that fair? It will the inventory up and down will be adjusted against customer advances. Is that a fair way to look at it?
Anurag Bhagania: You're right. That's correct.
Rupesh Tatiya: Okay. Thank you. I have few more I will come back in the queue.
Moderator: Thank you. Next question is from the line of Chirag Shah from White Pine Investments. Please go ahead.

Chirag Shah: Yes, thank you for the opportunity. Sir, I have one question. If I look at H2 results and balance sheet, there is significant amount of investments both in P&L as well as balance sheet without commensurate revenue. Be it staff cost, be it other expenses like inventory example. So what kind of reve

nue will this investment support? If you can just share some thoughts, it would be helpful. And secondly, the non-CDMO business or the injectable plus capsule business, what kind of EBITDA margins that we do? Because it is difficult to analyze it right now?
Anurag Bhagania: Hey, Chirag. So as I mentioned earlier to Rupesh, I think what you're seeing is an increased elevated level of working capital. These are as expected and as planned. These essentially are preparation for our significantly large launches. These inventories are fully funded and paid for by our customers and pretty much will go off the balance sheet.
The impact on the P&L is practically negligible. It's only the conversion charges for the service fee that we get which will flow into the financials. So not a matter of concern from that standpoint. What we are also doing from a balance sheet standpoint is there is capacity build-out, and that's the increase that you may be seeing in the capex side. So those are the two.
Chirag Shah: But I was more – I was more referring to the staff cost for the wage expenses and the other expenses. Despite drop in revenue, we have seen an increase in both line items and that could be because of the cost that we are bearing on expectations of potential revenue. So what I'm trying to understand is to what kind of revenue scale this staff cost and other expenses can support and beyond that there will be further investments that will be required?
Neeraj Sharma: So I think this is, Chirag, just that this is the investment which is being put in the entire expansion of capacity, whether it was earlier the capex which we said, but this opex is basically to support that expansion. And that is what we have said. It is for supporting our guidance of $400 million revenue.
Out of which the DDC part where the increase is happening is very significant. And that's where it -- we have already said the second line is already here and second line is undergoing qualification right now. So there is opex associated with it and that's when it comes online from next quarter onwards. And similarly, the third line which will be coming online later in the year. So I think that's what you see. And the revenue guidance we've already given which is going to be coming out of this expansion.
Moderator: Thank you. Next question is from the line of Nitin Agarwal from DAM Capital. Please go ahead.
Nitin Agarwal: Hi, thanks for taking the question. On the capacity, if you could probably just remind us on the timelines for the capacity expansion in DDC and by when do you see incremental capacity available? And if you can also give some sense on by when do you see reasonable utilization of these capacities in your plans?
Neeraj Sharma: Yes, Nitin. So if you see our -- as I mentioned, the current line is currently completely busy on doing the CSAs, the commercial manufacturing for both Canadian partners as well as our multiple Indian partners. The new line which is currently undergoing qualification, it was installed earlier in the year and is now undergoing qualification.

That line will be available from next quarter onwards. And that's what will, A, it'll ease pressure on the existing line and as and when customers keep moving, because that is also the line which has the capability of going to a significantly larger batch size of 500 liter, which actually is in the interest of our customers and us to be able to churn even higher output from that line.
And once the third line, because you know that we are going to be adding two lines, two additional lines this year and as the year will be ending, we'll be having the second new line. So by end of the year, we will have three lines installed. And you will see, as we have said, the sequential improvement in both revenue and EBITDA quarter-on-quarter, that sequential improvement actually is b

uilt on basis of these new capacities being available.
Because as I mentioned in my note, we have a very clear visibility on a very robust demand from all the markets which are either already where the approvals are there or the approvals are going to be coming. And with this capacity expansion, that demand will keep getting serviced and that you will see shown in our sequential quarter-on-quarter improvement. And you also know that there is another additional line which will be coming next year, but I'm not even factoring that. I'm just staying put with three lines which will be ready and which will be visible by end of

FY27.
Nitin Agarwal: And what will be the capacity available? We had a 40 million in the first line, and how many cartridge capacity will be there by the end of the year available with us?
Neeraj Sharma: Yes, so Nitin, I think last time if you remember we explained that our capacity, the way to look at the capacity is in the number of sterile days which are available as a sterile injectable company. And that is roughly we look at roughly about 225 odd days of sterile manufacturing available to us.
And in this, it is then a function of batch sizes. Now, if we do a 200 liter batch size, we can do roughly 60,000 odd pens per day. And if we were to take the batch size to 500 liter, that number immediately goes up by 2.5x as you can imagine. So from the same line, the output can vary quite significantly and increase quite significantly depending upon the batch sizes.
So the customers who will move to the batch sizes will be able to get a much higher output from us. And the same will be applicable to all the three lines. So you can imagine that with 225 sterile days for us in on one line and you multiply by three gives you the 675 odd days which will be available to us once all the three lines are up and running making commercial.
And that's the best way to look at our capacity. And also at the same time, I would also tell you that what we are really good at and what our customers are really valuing us for is all the capacity which I am telling you is not only for filling, it is end-to-end including assembly. So we are telling our—offering our customers the full finished packed product.
Nitin Agarwal: And secondly on the biologics CDMO business, I think there is.
Moderator: Nitin, sorry, your audio is coming muffled. Can you please speak through the handset?

Nitin Agarwal: Sorry, is it better?
Moderator: Yes.
Nitin Agarwal: You're saying on the biologics business, we probably made a lot of progress on the funnel. But with what we see in the business now in terms of the pipeline the way it's building out, when do you see this business beginning to contribute to a meaningful proportion of our console EBITDA for the business by what time does that begin to happen?
Neeraj Sharma: So Nitin, biologics is a really very exciting business for us. As you see, there are so many global tailwinds which are supporting, including the recent changes in the guidelines by FDA as well as Europeans, which have opened the biosimilar business dramatically, expanded the size of the biologics business, the biosimilar business globally.
And obviously, the access and the attractiveness of CDMOs like us because of the comparative cost which we offer, because of the agility and time to market which we offer, has made us really, really attractive. So while the tailwinds and the funnel is very strong, what happens in biologics is it's a fairly long gestation in terms of closing the agreement.
So while the funnel is really strong, we see agreements getting signed and you will see that happening over the next full FY27 and FY28. For you -- you will already see a meaningful contribution coming in FY27 and FY28, but the real kicker is once the commercial manufacturing starts for biologics, which is I would say still be

yond the current time horizon
which we are looking at FY28. We see the commercial manufacturing happening '29 onwards. However, the contribution from biologics will already be meaningful in FY28.
Nitin Agarwal: And just one last one, Arun, if you could probably answer that. We're talking about FY28 guidance which we've been holding on for the last couple of years. Now, if you look at OneSource as a business qualitatively, how should one think about the business beyond the FY'28? If you can give us some qualitative feel on how should we visualize the business scaling up beyond that?
Neeraj Sharma: I would request Arun to answer. It's a good question. Thank you.
Arun Kumar: Hi, Nitin. On your question, basically there are several modalities. There's a lot of conversation and noise around the DDCs, which of course is an important segue to our $400 million. But we have several modalities including our soft gels, injectables, and the biologics, which is the nascent build-out as Neeraj said that'll take a little time before we've got a lot of contracts signed up early stages and a lot of RFPs issued, but material conversion will take at least another 2, 3 years.
And we already see the need to expand capacities in that area. But we believe that the soft gel in our $400 million target, we've alluded to the fact that our soft gels and injectables business are trending closer to the $100 million mark. We see a lot more growth opportunities there. We're expanding more capacities.

Neeraj alluded to the enhancements of capacities in our injectable space. We have a fourth line coming in unit two, which is a dedicated injectable capability with several features including an SPD with high viscosity pre-filled syringes. So there are several legs beyond the $100 million which we are investing heavily now and we brought in a lot of new capabilities in our R&D and market access.

So we are very confident those businesses will grow quite smartly in the next many years and should give us much more leg up on the beyond 400 goals. Of course, the Steriscience assets would have added to the whole story, but that's for another day. But having said that, the $400 million organically will also have some inorganic elements, not necessarily the Steriscience assets, and clearly they would also -- that's a pivot that we'll continue to look as we create beachheads internationally.

Moderator: Thank you. Nitin, I'll request to come back for a follow-up question. Next question is from the line of Kunal Lakhan from CLSA. Please go ahead.

Kunal Lakhan: Yes, hi. Thanks for taking the question. A little more elementary question. With respect to semaglutide, do we have like a minimum commitment on volumes from our clients, say either on a quarterly or an annual basis, irrespective of whether the clients are able to sell their inventory in their respective markets or not?

Neeraj Sharma: Yes, so I can tell you that right now the biggest challenge actually for the customers is access to capacity. And for them to secure this access, customers have done capacity reservation with us. And that capacity reservation includes blocking capacity and submitting to pick up that capacity both by paying upfront fee as well as take-or-pay kind of contract. So right now, as I said, we are only looking at how we can service this demand than worrying about whether they will sell or not.

Kunal Lakhan: Sure, I get that. And once these markets like Brazil and other markets open up, right, going into say FY '28 or '29, right, would these terms be different or you see similar terms in terms of access to supply, access to capacity still remaining a priority with these clients?

Neeraj Sharma: See, again it depends how the demand develops. But I can tell you considering right now the way we have seen India pick up, we are seeing even the brand in other markets whe

re the expansion which is happening continues to go beyond what was anticipated. And the demand-supply gap will continue to be there at least for next 2 years.

So -- while I cannot forecast the future, but I can tell you certainly over a next 2 year period, there will be a challenge more -- I mean, demand will be robust and the gap will be more from supply than the demand.

Kunal Lakhan: Understood, sir. Very helpful. Thank you so much.

Moderator: Thank you. Next question is from the line of Aniket Singh from Kotak. Please go ahead.

Aniket Singh: Hi, sir. Firstly, on the Semaglutide Canada opportunity, when do you expect approvals for your other clients in the Canadian market? Do you expect them to come in by the end of FY27 or maybe sometime earlier or beyond FY27?

Neeraj Sharma: So, honestly, that's a question which we are not directly involved in managing the regulatory strategy or discussing with the regulatory agencies. But I think as we have all seen in public domain that there would be more approvals which will be coming in over the next few quarters. So now when exactly these are going to be there, it's very difficult to anticipate. But you saw Health Canada talking about that there are more approvals which are currently in the pipeline.

Aniket Singh: Got it, sir. And secondly, sir, you have given some information on few ROW markets in your presentation. So can you give some more thoughts on how big could the market be in Brazil and few LatAm and select ROW markets that you have mentioned in your presentation?

Neeraj Sharma: So Brazil today, if you look at IQVIA, Brazil is the largest market outside of North America for Semaglutide, right? So it's a very -- it's a large country, significant population, and a country which is very focused on weight reduction. So it is going to be a very significant market. And if you see there are other markets which are fairly large, whether it is Turkey, whether it's Saudi Arabia, because this is a factor of population size.

And you look at these markets, Turkey with 80 million people, Saudi Arabia again large populations. So these will be interesting. But also you need to see that many of these markets today, whether it is Southeast Asia, whether it is Latin America, the brand has not been available. It has been a very, very constrained supply because brand has focused only on US and Europe

and the developed markets. So these markets will really grow much.
So there are no clear numbers available simply because the brand has done a very, very poor job of even supplying these. The clear example was India, which is the second largest diabetic population in the world, and the brand got launched months back and not years back as it should have been. And you see the growth.
So I think that's how we will have to wait and see, but there is a very significant market out there in each of these emerging markets. And also we have customers in all these -- we have a very strong customer base which will be covering all these markets which are opening.
Aniket Singh: Got it, sir. And sir, lastly, while you have given your FY28 guidance, but now as few of your customers have already got Semaglutide approval in few markets, do you want to give some color on full year FY27 numbers? Maybe some inclination?
Neeraj Sharma: Yes, so I think we as we said, we will stay right now with FY28 guidance while we continue to progress with the commercial launches, expanding capacities this year. So this year, right now, we are reiterating FY28.
Aniket Singh: Okay, thank you.

Moderator: Thank you very much. Next question is from the line of Dr. Kartick Bane from Bajaj Life. Please go ahead. Dr. Bane, can I request you to unmute your line and proceed with your question?
Management: Take the next question.
Moderator:

Due to no response, we move on to the next participant. Next question is from the line of Ritika from Valuequest Investment Advisors. Please go ahead.
Ritika: Yes, hi, sir. Thank you for taking my question. First question is on Brazil market. As per ANVISA's website, we see only handful of applicants which are currently under review, though there would be 17 applicants. So could you help us understand of these top filers, what would be our partnership number? Though we've said we have five partners, but out of these top applicants, where would our partnership share be?
Neeraj Sharma: So Ritika, again as I said, this is not information which is in public domain. What ANVISA has not given -- it doesn't give details on which ones are currently under evaluation, what are the names, who are. So I can only tell you that our customers are a fairly, variable bunch. We have some of our global generic company partners who have filed in Brazil.
We've got Brazilian companies who have filed in Brazil. We've got regional strong leaders who have filed. So it's very, very difficult to really understand where they are. But as and when the approvals will start coming, our customers should certainly be in that first wave.
Ritika: Sure. Second question is on Saudi Arabia as a market. Three months back, we had given out the notification of approval of the drug in Saudi Arabia, Semaglutide. Why would there have been delay in launches? Could you help us understand that?
Neeraj Sharma: No, so here it's not a delay because the fact is that while Saudi Arabia there was no patent, you're aware that there was a patent in India, right? So that's the -- that was a constraining factor and not the Saudi patent. Now that all that is freedom to operate is there, so as we have said, Saudi launch is imminent.
Ritika: Sure. Last question is on customer advances. What would this number be currently on our books versus INR250 crores last quarter?
Anurag Bhagania: Ritika, the number would likely be at almost the similar levels. There's not significant change on that number.
Ritika: Sure, thank you so much.
Moderator: Thank you. Next question is from the line of Aman Vij from Astute Investment Management. Please go ahead.
Aman Vij: Good afternoon, sir. First question is on the biologics part. You explained how FY27 and FY28 could be good growth years for the business. I just wanted to understand what is the number in terms of revenue and say EBITDA loss for FY26 and when do we expect the breakeven in this biologics business?

Neeraj Sharma: So, I think we have mentioned that earlier. The stage of evolution we are in right now, we don't really break it down in that granularity business-wise because the modalities our customers take are all together. So -- and as you know, right, as I've mentioned that CDMO, our biggest asset is

actually confidentiality of our customers. So we don't really break down business-wise revenue or any other financial.
Aman Vij: If you can answer which year can we expect the business to breakeven and start contributing in terms of profitability also?
Neeraj Sharma: As I said, whether what would be the profitability, whether it is breaking even already or not, I will not get into that. But as I mentioned that the -- it's a business which is going to be expanding year-on-year and will already contribute meaningfully to our FY28 numbers and beyond.
In fact, that is the business which has got very long runway for us beyond FY28 because the commercial manufacturing is going to be starting beyond FY28 and that is a very, very meaningful growth on these numbers. I mean, just to let you know, it's a very strong EBITDA business.
Aman Vij: Sure, sir. On soft gelatine part, in my understanding, the new capacities are already online. So could you talk about say capacity utilization and when can we see -- start seeing good grow

th
and higher capacity utilization in that business?
Neeraj Sharma: Yes, so this is, as you know, that last year we have expanded the capacity. And since then, we have onboarded new customers. We continue to onboard. In fact, thanks to all the challenges in having capacity available for our European customers and who are really coming to us. So that soft gelatine capacity, we are actually seeing an increase.
And as we have said by most likely by end of this year or if not next year, we would have no real capacity available beyond. And that's why if you also know that we have a limited period agreement, transition agreement with Strides, and we would be expanding into our own site.
And that's the time where the next set of expansion on the capacity will happen. So by within the current period, we look at this capacity to be fully utilized.
Aman Vij: Sure, sir. Final question on Sema side. You explained how the based on batch size, whether it is 200 KL or 500 KL, the capacity becomes 2.5x. So in your...
Neeraj Sharma: Yes, just to clarify, it's not KL, it's liters. It's only, it's 200 liter and 500.
Aman Vij: Yes, yes. 200 liter and 500 liter. So, in your understanding, when do you expect, say, this to happen for the, at least the first original line?
Neeraj Sharma: Yes, so our original line, the current line, we can't go beyond 200. That's why the new lines which we have done, see, it's again, the existing line predates all the exuberance and excitement around GLPs and where the market was. So that line can do maximum 200. It's the new line -- all the new lines which we are doing which can go even up to between 750 to 1,000 liters is what where we are going to be changing.

Aman Vij: And for the first new line, when do you expect this to happen?
Neeraj Sharma: So it's a process. You know, customers already working on it. We'll keep updating you, but it's not a long-term plan. It's going to be happening sooner than we anticipated.
Aman Vij: Thanks for answering the question.
Moderator: Thank you. Next question is from the line of Dr. Kartick Bane from Bajaj Life. Please go ahead.
Kartick Bane: Hello, can you hear me now, this time?
Neeraj Sharma: Yes, yes. Please go ahead.
Kartick Bane: Okay, thank you. Yes, thanks for the opportunity. So I would like to know more about the oral Semaglutide opportunity and how would that impact our business?
Neeraj Sharma: So I think, it's a good product. And we are very clear that there are patients who just cannot take injections because they have a needle phobia. And for them, oral tablets are an absolute relief.
Having said that, orals have a challenge of [inaudible] they still don't match the efficacy of injectables. Orals also require a daily dosing, what we call a very high pill burden. And obviously, with the daily dose, the side effect challenges also increase. So with all in mind, while they are a very good solution for people who really need and can do with a lower weight loss, and the expectation.
Moderator: Can you just mute your line please?
Kartick Bane: Yes. I am sorry.
Neeraj Sharma: Yes, so we don’t expect the orals to be taking about anywhere between 25% to maybe a third of the total market. So the market will overwhelmingly stay as injectable. Simply look at the pipeline of products, the other GLP products which are coming, which are overwhelmingly injectable.
Kartick Bane: Okay, thank you. And my second question is that you mentioned Canadian partner. Would you like to clarify if the Canadian partner is Indian company or outside India company?
Neeraj Sharma: See, I think we have said, right? that it’s one company is in public domain, which is Dr. Reddy's. So and the second partner is also in very clear we have put in public domain. Our partner is

Orbicular, and Orbicular has a partner in one of the largest Canadian companies. So I think it's

-- there are only two companies who are approved, so you can, I'm sure, figure out which ones are those.

Kartick Bane: Okay, thank you very much. Thanks a lot.

Moderator: Thank you very much. Ladies and gentlemen, in the interest of time, that will be the last question. I'll now hand the conference over to the management for closing comments.

Neeraj Sharma: Yes, thank you very much for taking time and asking such insightful questions. Really appreciate the interest, and we look forward to speaking to all of you next quarter. Thank you very much.

Moderator: Thank you very much. On behalf of OneSource Specialty Pharma Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.